

Bank of Kigali Investor Presentation 1H 2014

Disclaimer

This presentation contains statements that constitute “forward-looking statements”, including, but not limited to, statements relating to the implementation of strategic initiatives and other statements relating to our business development and financial performance.

While these forward-looking statements represent our judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other factors could cause actual developments and results to differ materially from our expectations.

These factors include, but are not limited to, (1) general market, macroeconomic, government policies, legislative and regulatory trends, (2) movements in local and international currency exchange rates, interest rates and securities markets, (3) competitive pressures, (4) technological developments, (5) changes in the financial position or credit worthiness of our customers, obligors and counterparties and developments in the markets in which they operate, (6) management changes and changes to the Bank’s structure and (7) other key factors that we have indicated could adversely affect our business and financial performance, which are contained elsewhere in this presentation and in our past and future filings and reports, including those filed with the National Bank of Rwanda and the Rwanda Stock Exchange.

We are under no obligation (and expressly disclaim any such obligations to) update or alter our forward-looking statements whether as a result of new information, future events, or otherwise.

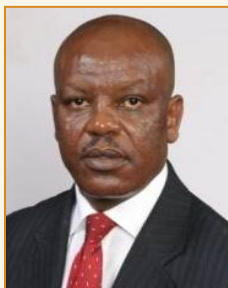
Key Executives



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Agenda

1. Key Investment Highlights
2. Country Overview Information
3. Banking Sector Overview
4. Bank Overview
5. Corporate Governance
6. Business Overview
7. Review of Financial Performance in 1H 2014 & 2013
8. Strategic Outlook
9. Contact Information

Key Investment Highlights

1. *Best Bank in Rwanda 2013 & 2014*



Sound Macro Fundamentals

2. *Best East African Bank 2012 & 2014*



Significant Banking Sector Potential

3. *Bank of the Year 2009-2012*



Market Leadership

4. *Best Bank in Rwanda 2009-2013*



5. *Best African Listing*



Conservative Business Model

6. *Best Financial Reporting Company 2012, Rwanda*



Experienced Management Team

7. *AA-/A1 Credit Rating*



The rating reflects the Bank's established domestic franchise value, strong capital position, its systemic importance, strong asset quality and financial performance.

Profitable Growth

- Politically stable country with sound governance
- Very attractive demographic profile: population of 10.5 million with 83% below the age of 40
- Robust economic growth of 4.1% - 8 % between 2006-2012 and 5.7% expected for 2014
- Moderate inflation: Inflation at 1.4% in June 2014
- Very friendly business environment, ranked fifth-best destination for investment in the world according to the 2013 Baseline Profitability Index (BPI) and third most competitive economy in Africa by Global Competitiveness Index

- Significant headroom for growth given low banking penetration
- Total assets/GDP of 31%
- Large unbanked population of approximately 77%
- Well regulated banking sector: fairly conservative regulator relative to regulators in the EAC

- Market leadership by
 - Total assets (RwF 477.5 billion- 1H 2014) – 33.3% market share
 - Net Loans (RwF 212.7 billion–1H 2014) – 31.0% market share
 - Customer Deposits (RwF 323.0 billion– 1H 2014) –30.4%market share
 - Shareholders' equity (RwF 80.9 billion–1H 2014) –43.7% market share

- Relatively high capital adequacy ratios ranging from 19.9% - 25.6% between 2009 and 1H 2014
- Manageable level of non-performing loans – 6.8% of gross loans in 1H 2014, down from 19.4% in 2007
- Net loans to customer deposits ratio of 65.9% in 1H 2014.

- Management team with significant banking sector experience
- Complemented by an experienced and diversified Board of Directors
- Track record of producing stellar results

- Robust asset growth at a CAGR of 29.1% (2009-2013) – RwF 477.5 billion in 1H 2014
- ROAA ranging from 3.9% - 4.4% between 2009 and 1H 2014

COUNTRY OVERVIEW INFORMATION

Rwanda – Country Profile

National Facts

Area	26,338 sq km
Population	10.5 million
Official Languages	Kinyarwanda, French, English
Capital	Kigali
Currency	Rwandan Franc (RwF)
Credit Rating	'B +' (Fitch Ratings) B/Stable (Standard & Poors)
Nominal GDP (2014E)	US\$ 7.6 billion
Nominal GDP Per Capita (2013)	US\$ 693

Macro Economic Indicators

Real GDP Growth Rate 2013	4.6%
Real GDP Growth Rate 2014E	5.7%
Inflation Rate (June 2014)	1.4%
Private Sector Credit Growth(1H 2014)	7.2%
Current-account deficit as a % of GDP-2014E	9.5%
External Debt to GDP	29%
Currency Depreciation against USD (Jan- June 2014)	4.1%
FDI as % of GDP	2.2%
Official Reserves	4 mths of imports

Source: IMF, CIA World Factbook, World Bank, Ministry of Finance and Economic Planning, National Institute of Statistics of Rwanda and National Bank of Rwanda,

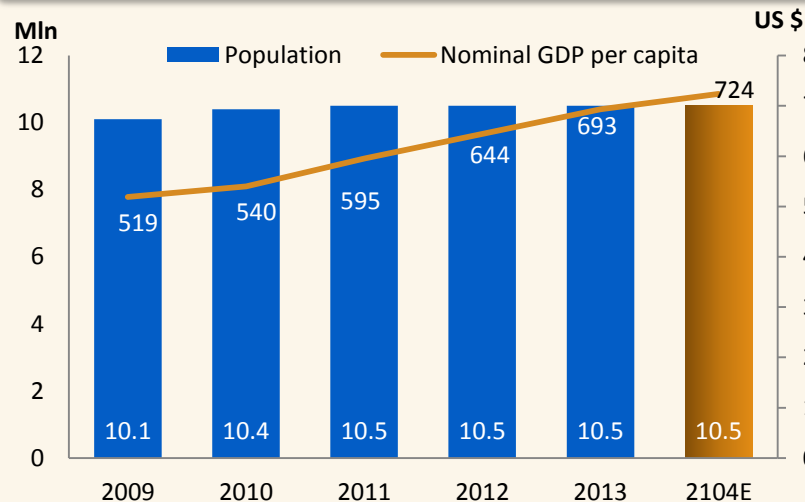
Business Environment

- Ranked second only to Mauritius as the best destination to do business in Africa in the World Bank 2014 Doing Business Report.
- Since 2005, Rwanda has implemented over 22 business regulation reforms in the areas measured by the World Bank Doing Business Index. Today, entrepreneurs can register a new business online in 6 hours
- Ranked first in Africa in the 2014 World Bank Country Policy and Institutional Assessment (CPIA) report. The report shows that Rwanda's economic management and structural policies as the most improved in sub-Saharan Africa. Rwanda was also named the most competitive economy in East Africa and third I Africa by Global Competitiveness Index Report 2014

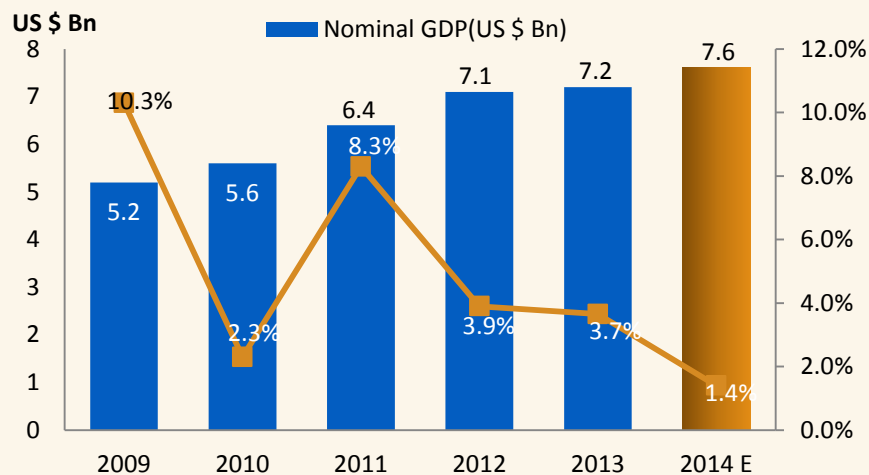


Sound Macro Fundamentals

GDP per Capita continues to grow

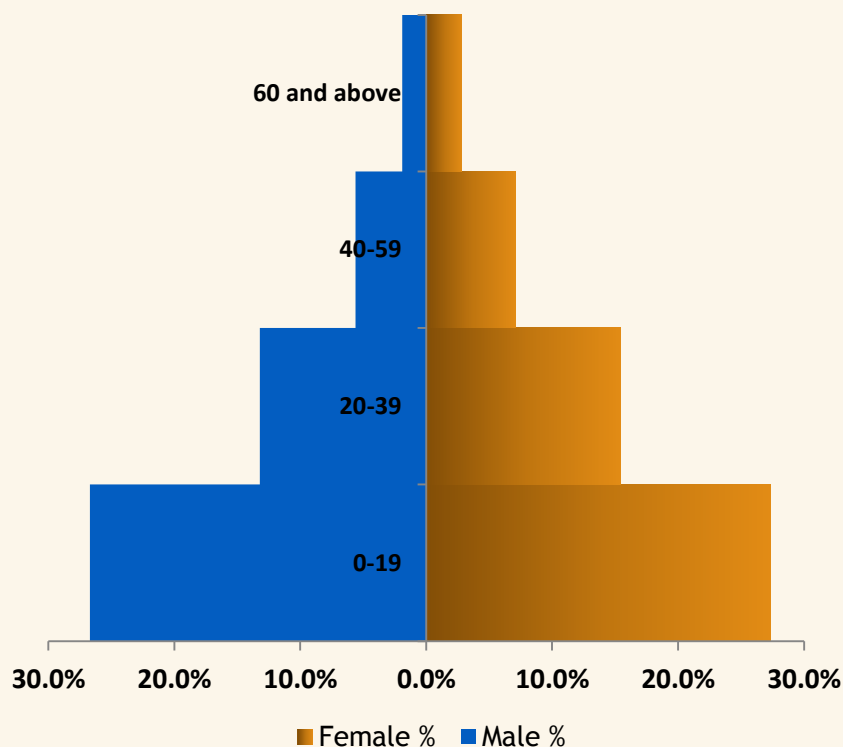


Healthy GDP growth with moderating inflation



Source: Ministry of Finance and Economic Planning, World Bank

Population Pyramid for Rwanda

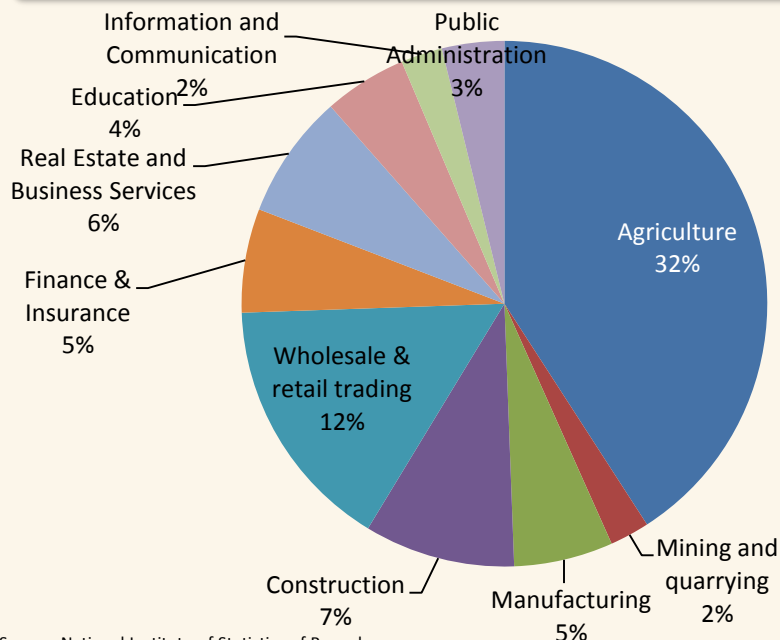


- 54% of the population is under 19 years.
- 83% of the population is under 40 years.
- 3% of the population over 65 years.

Source: National Institute of Statistics of Rwanda

Macroeconomic Indicators

GDP Breakdown By Economic Activity Q1 2014



Source: National Institute of Statistics of Rwanda

Trade Deficit as a % of GDP



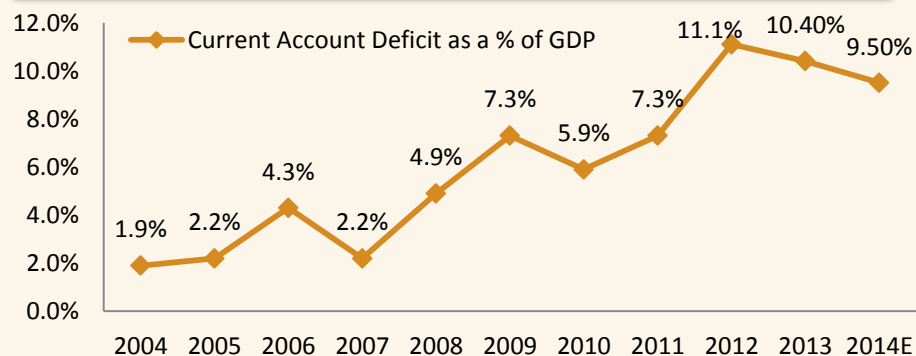
Source: Ministry of Finance and Economic Planning Projections

Trade Structure

- Rwanda's exports are dominated by coffee, tea and minerals (tin, coltan and wolfram).
- The country remains a net importer. Major imports include fuel and oils, intermediary goods especially construction materials, consumer goods, and capital goods.
- Informal cross-border trade is a significant component of Rwandan external trade (approx. 17.8% of formal exports). 75% of these exports are destined to DRC
- Official reserves were estimated at 4 months of goods imports as of Dec 2013

Source: NBR Monetary Policy Statement

Current Account Deficit as a % of GDP



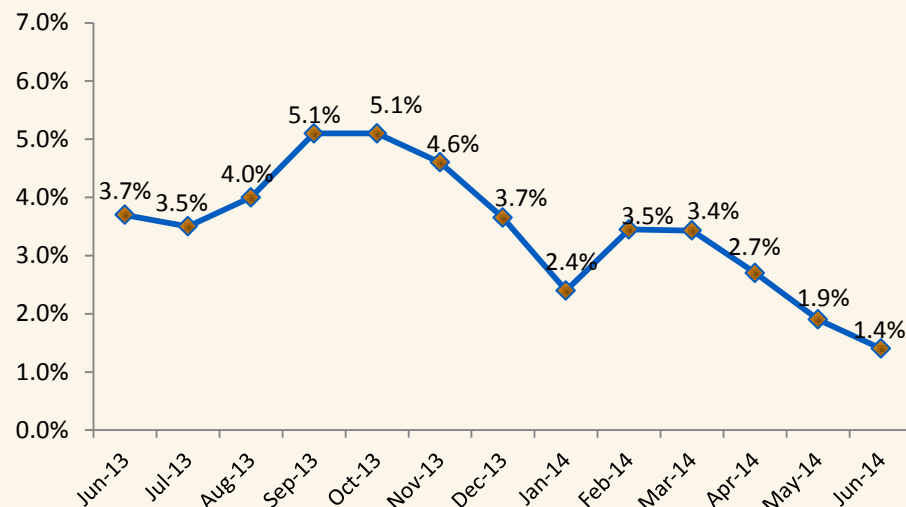
Source: National Institute of Statistics of Rwanda

Review of the Macro Economic Environment 1H 2014

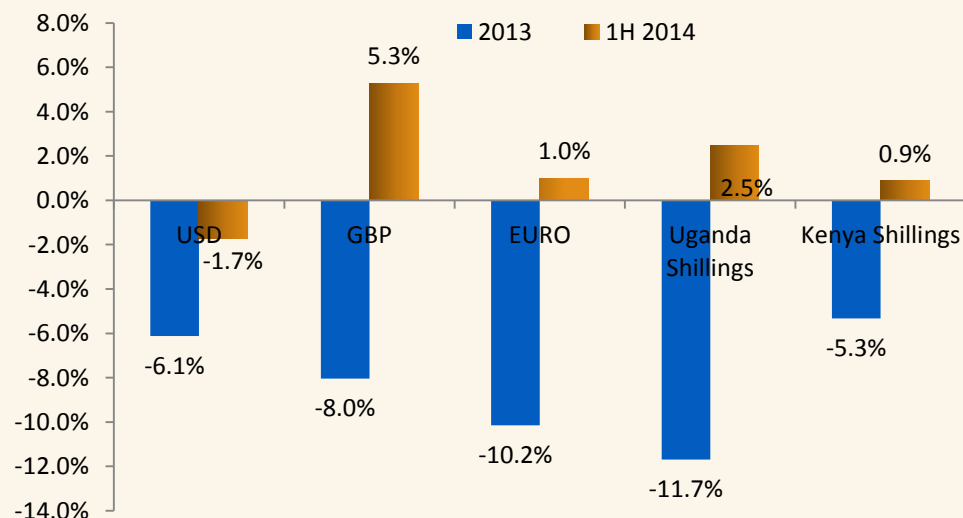
Macro Economic Review

- GDP was 7.4 percent higher in real terms in Q1 2014 compared to the same quarter of 2013.
- Activities in the industry sector grew by 9 percent and contributed 1.4 percentage points to the GDP growth while the services sector increased by 8 percent and contributed 4 percentage points to the GDP growth. The agriculture sector grew by 5 percent and contributed 1.7 percentage points to the overall GDP growth.
- The main contributors to GDP remain the service and agriculture sectors which made up 48% and 32% respectively of GDP while the industry sector contributed 15%.
- The annual headline inflation fell to 1.4% in June 2014 down from 3.7% in December 2013.
- The Central Bank policy rate was lowered from 7.5% in May 2012 to 7% in June 2013 and further down to 6.5% in June 2014.
- The trade deficit increased by 17% to USD 898.6 million as at 30 June 2014 from USD 765.4 million in the same period of last year.

Inflationary Environment June 2013- June 2014



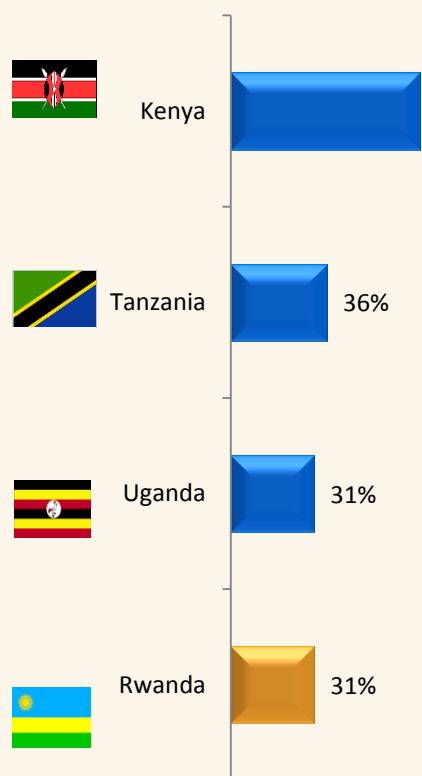
Exchange Rate Developments 1H 2014



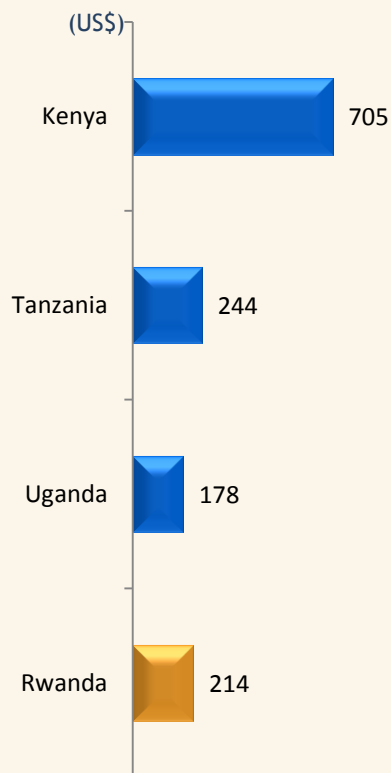
BANKING SECTOR OVERVIEW

Significant Banking Sector Potential

2013 Banking Assets/GDP



2013 Banking Assets Per Capita⁵



Large Unbanked Population

- Economy is moving away from being cash based through the various financial inclusion initiatives being undertaken by financial institutions including the launch of agency banking and mobile money transfer services
- Approximately 72% of the population have or use financial products or mechanisms including those offered by non- bank formal financial institutions such as SACCOs

Source: Finscope Rwanda 2012

Prudential Regulations

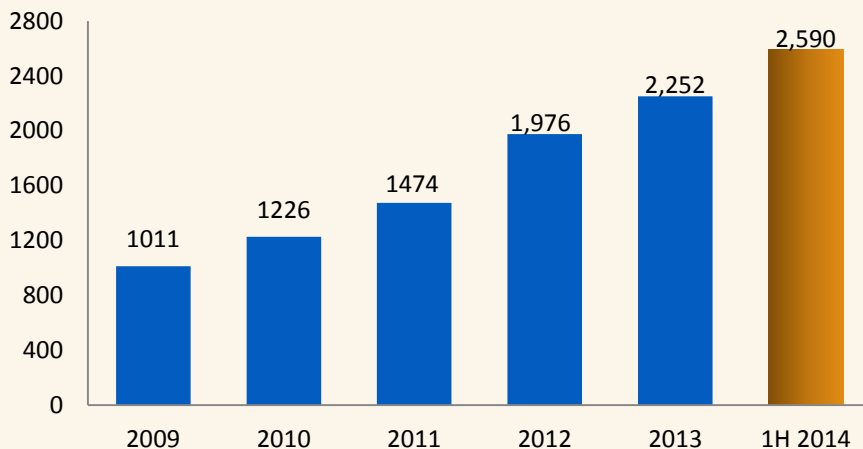
CAR (Tier One)	10%
Total CAR	15%
Liquidity Ratio	20%
Reserve Requirement	5% of total deposits
Lending in foreign currency	Restricted to exporters

- Source: EY Eastern Africa 2013 Banking Sector Review & World Bank data
- Source: EY Eastern Africa 2013 Banking Sector Review & World Bank data
- Source: African Alliance YE 2013 Uganda Banking Sector Analysis & World Bank data
- Source: National Bank of Rwanda YE 2013 Monetary Policy Statement
- Source: Population stats by World Bank

Banking Sector Overview

Rwanda Banking System Total Assets

USD Mln



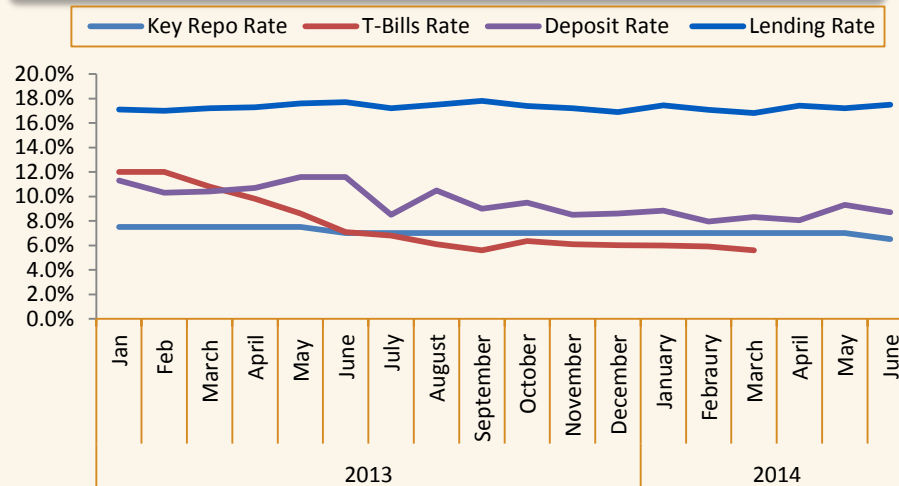
Source: NBR Monetary Policy Statement for the half year ended 30 June 2014

Banking Sector Review 1H 2014

- As at end of 1H 2014, total CAR stood at 23.6% (YE 2013: 23.1%) well above the regulatory minimum of 15%. The sector's liquidity position stood at 51.4% (YE 2013: 49.5%).
- Gross loans in the Banking sector increased by 7.2% between January and June 2014. The distribution of additional credit to private sector is dominated by the commerce, hospitality, public works and construction sectors.
- The quality of assets improved significantly as the Non-performing loans (NPLs) to total gross loans reduced to 6.6% in June 2014 (YE 2013: 7.0%).

Source: NBR Monetary Policy Statement for the half year ended 30 June 2014

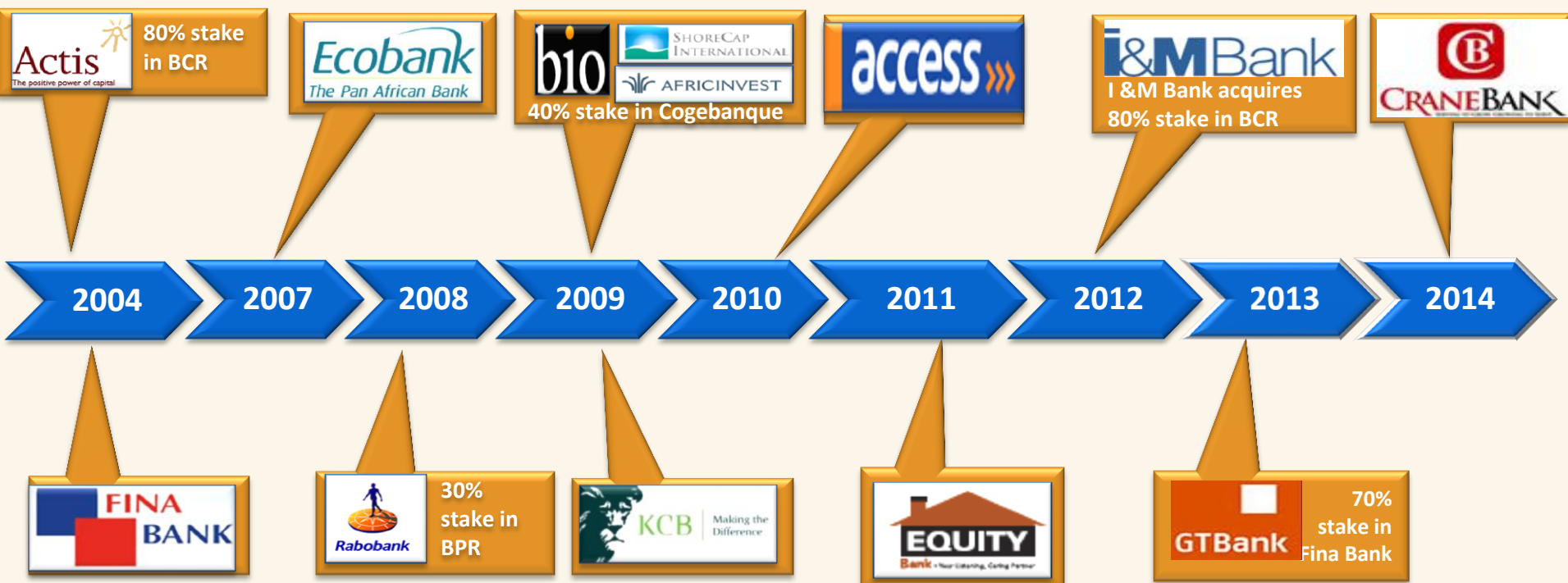
Interest Rate Analysis



Recent Regulatory Reforms To Improve Access To Credit

- Enactment of Law on Mortgages, requiring the registration of mortgages and enabling lenders to foreclose on defaulters
- Establishment of Commercial Courts dealing solely with commercial disputes
- Reorganization of the Land Centre which has computerised records and operations in addition to timely issuance of property titles
- Reorganization of the Office of the Registrar General to enhance and fast track registration of mortgages and foreclosures
- Establishment of Credit Reference Bureau to enhance information sharing among banks and other financial institutions in order to assist with credit risk assessment

Timeline of Foreign Investment In The Rwandan Banking Sector



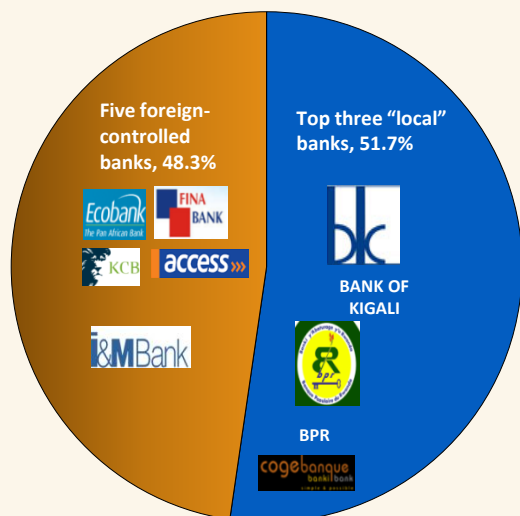
	2008	2009	2010	2011	2012	2013	1H 2014
Bank of Kigali Market Share by Total Assets*	23.4%	26.4%	27.4%	32.3%	31.7%	35.6%	33.3%

* Market share among commercial banks

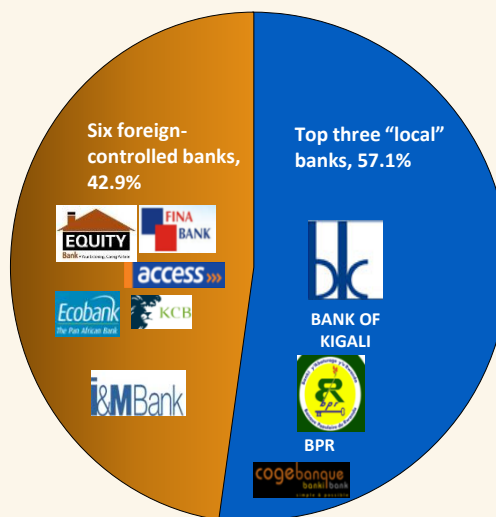
Banking Sector Overview Cont'd

Case study: Rwanda– six out of nine banks in Rwanda are owned by regional and Pan African banks and have lost market share to locally-run banks

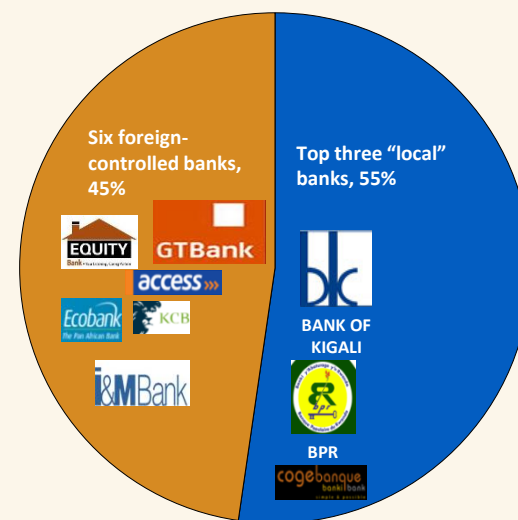
Market Share By Total Assets in 2008



Market Share By Total Assets in 2012



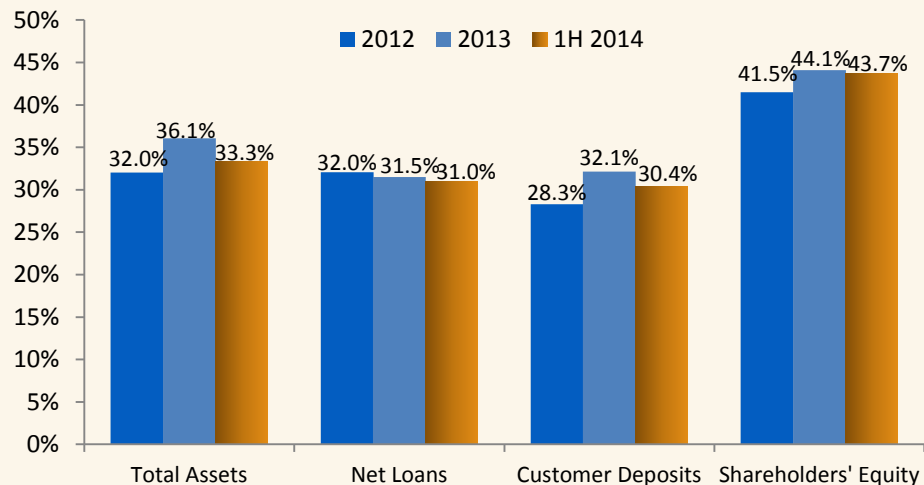
Market Share By Total Assets in 1H 2014



Source: the National Bank of Rwanda, company estimates

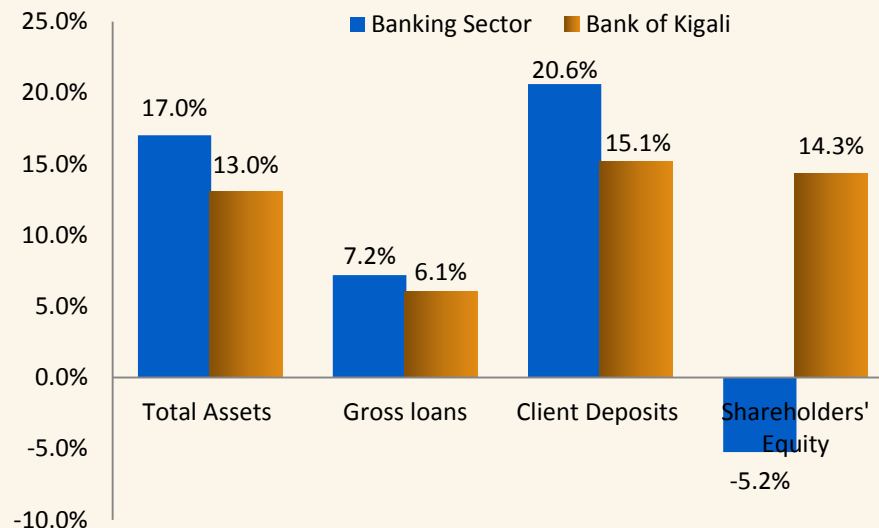
Competitive Landscape

Market Share Dynamics*

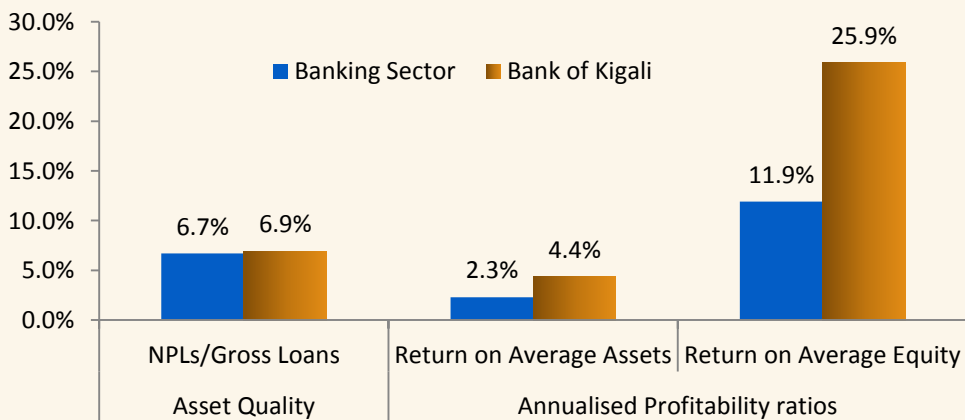


Source: NBR Supervision Department, BK Company Filings and published results of Banks
*Commercial banks

Banking Sector Growth Vs Bank of Kigali Growth 1H 2014

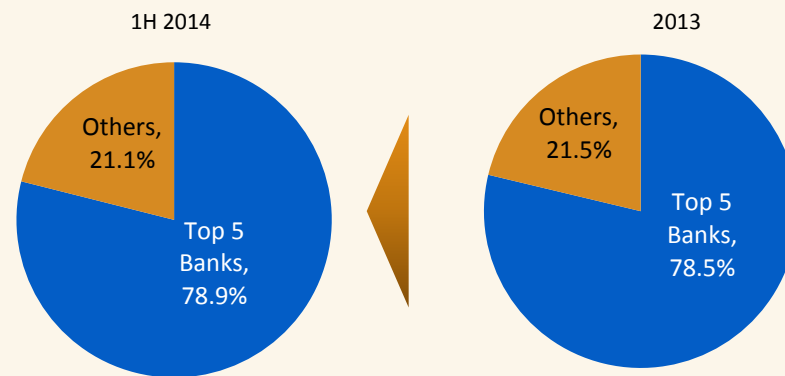


Selected Indicators 1H 2014



Source: NBR Supervision Department, BK 1H 2014 Published Results

Concentration of Banking Sector Assets



Source: 1H 2014 Reviewed Results except BPR

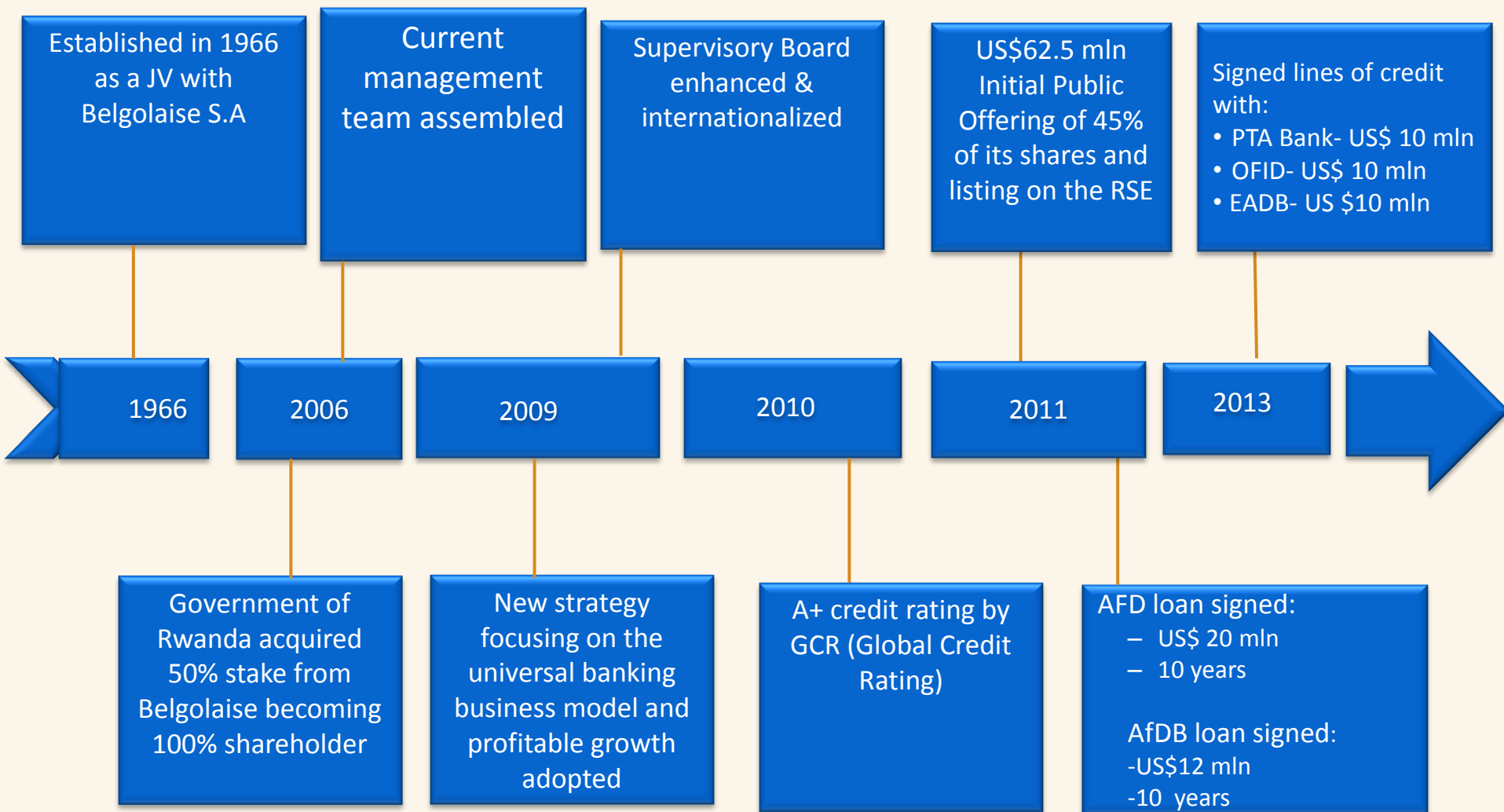
Market Leader

Rank	Total Assets		Net Loans		Customer Deposits		Equity	
1		33.3%		31.0%		30.4%		43.7%
	BANK OF KIGALI		BANK OF KIGALI		BANK OF KIGALI		BANK OF KIGALI	
2		12.3% *		14.2% *		13.8%		14.3%*
	BPR		BPR		ECOBANK		BPR	
3		12.0%		11.7%		12.8%		10.4%
	I & M Bank		I & M Bank		I & M Bank		I & M Bank	
4		11.9%		10.7%		10.6%*		7.1%
	ECOBANK		ECOBANK		BPR		ECOBANK	
5		9.5%		10.7%		9.0%		6.6%
	COGEBANQUE		COGEBANQUE		COGEBANQUE		COGEBANQUE	
6		7.1%		7.9%		8.6%		5.2%
	KCB		KCB		KCB		KCB	
7		6.4%		6.7%		7.2%		4.8%
	GT BANK		GT BANK		GT BANK		ACCESS BANK	
8		4.0%		5.0%		3.9%		4.0%
	EQUITY BANK		EQUITY BANK		ACCESS BANK		EQUITY BANK	
9		3.5%		2.1%		3.7%		3.9%
	ACCESS BANK		ACCESS BANK		EQUITY BANK		GT BANK	

Source: 1H 2014 published results for commercial banks * BPR figures are estimates & subject to change

BANK OVERVIEW

Background and History



A Snapshot of Bank of Kigali

Key Facts

- ☒ The leading bank in Rwanda (33.3% market share by total assets as at 30 June 2014), offering a wide spectrum of commercial banking services to corporate, SME and retail customers
- ☒ As at 30 June 2014 the Bank had:
 - ☒ Over 27,000 corporate current accounts
 - ☒ Over 177,000 retail current accounts
 - ☒ 65 branches
 - ☒ 70 ATMs
 - ☒ 1,125 employees
 - ☒ Issued 166,829 debit cards
- ☒ Western Union, Money Gram and Express Money services for International Transfers
- ☒ One of two Banks in Rwanda that issues International VISA cards.



US\$ million	2009	2010	2011	2012	2013	1H 2014	CAGR 2009-2013
Rwf/USD Period End rate	573.2	594.4	604.4	630.6	670.2	677.4	
Total Assets	264.9	332.6	476.3	511.9	630.2	701.7	29.1%
Net Loans	134.5	170.6	203.7	293.5	297.0	312.6	26.8%
Client Deposits	191.0	228.3	299.5	330.5	418.5	474.7	26.5%
Shareholders' Equity	32.3	53.6	101.9	100.1	105.7	118.9	39.8%
Net Income	9.2	10.4	14.4	18.5	22.0	14.5	29.4%

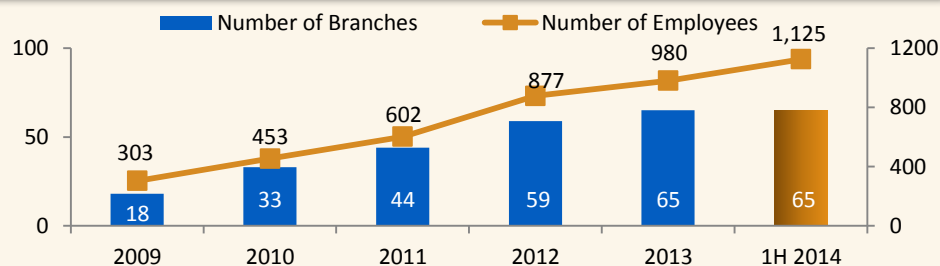
Growth figures are calculated on Rwf Values.

Market Share

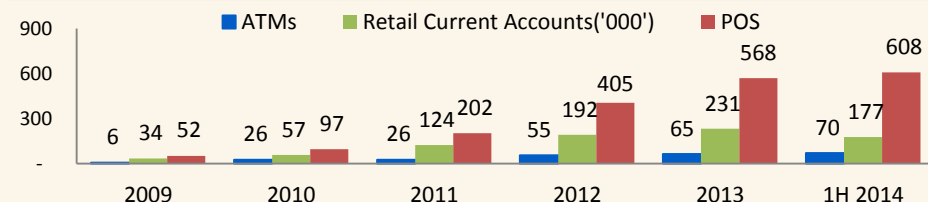
Total Assets	26.4%	27.4%	32.3%	31.7%	35.6%	33.3%
Net Loans	26.8%	31.5%	29.4%	31.5%	30.4%	31.0%
Client Deposits	25.8%	25.9%	28.2%	28.1%	32.5%	30.4%
Shareholders' Equity	26.8%	32.2%	41.9%	41.9%	42.1%	43.7%

Source: Bank of Kigali Audited Financials 2008-2013, 1H 2014 Reviewed Results

Branch Network Evolution



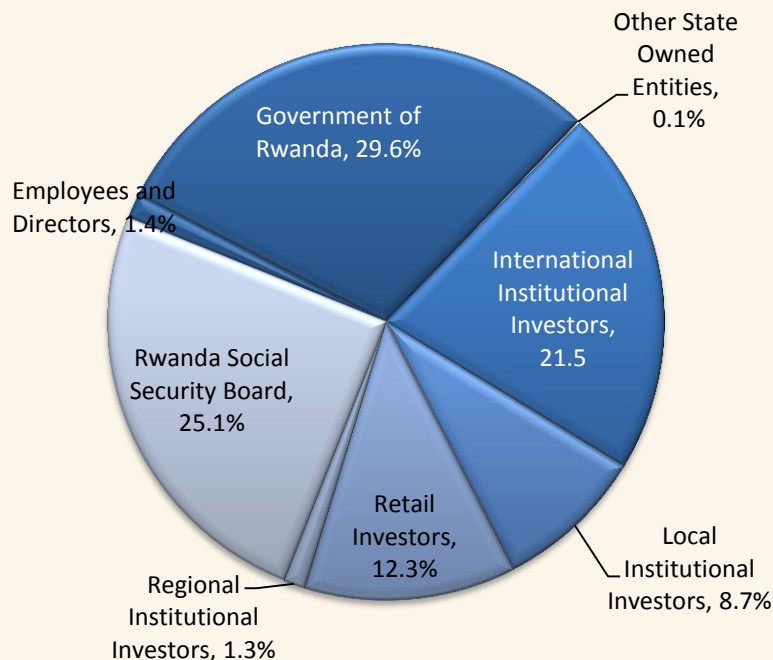
Growth in ATMs, POS Terminals and # of Retail Current accounts



CORPORATE GOVERNANCE

Shareholding Structure & Corporate Governance

Shareholding Structure as at 30 June 2014



Free float- 45%

Corporate Governance

- ☒ The Board of Directors has eight independent non-executive directors (including two non-resident directors with extensive expertise in international banking practices)
- ☒ The Board of Directors is approved by the Central Bank and meets on a quarterly basis or more frequently as the business demands
- ☒ The Board sets the strategy and retains full responsibility for the direction and control of the Bank as spelled out in the Memorandum and Articles of Association, the Board Charter and the corporate governance guidelines
- ☒ The Board sub-committees have clear TORs which underscore the scope and context of their performance as approved by the Board & corporate governance regulation
- ☒ The Board receives detailed financial information and regular presentations from the management on the Bank's business performance, this enables the Directors to make informed decisions on governance, strategic, financials and operational issues

Share Trading Performance

29 August 2014

Analyst Coverage



Recommendation: **BUY**
Target Price: **Rwf 390**
Last coverage report: March 2014



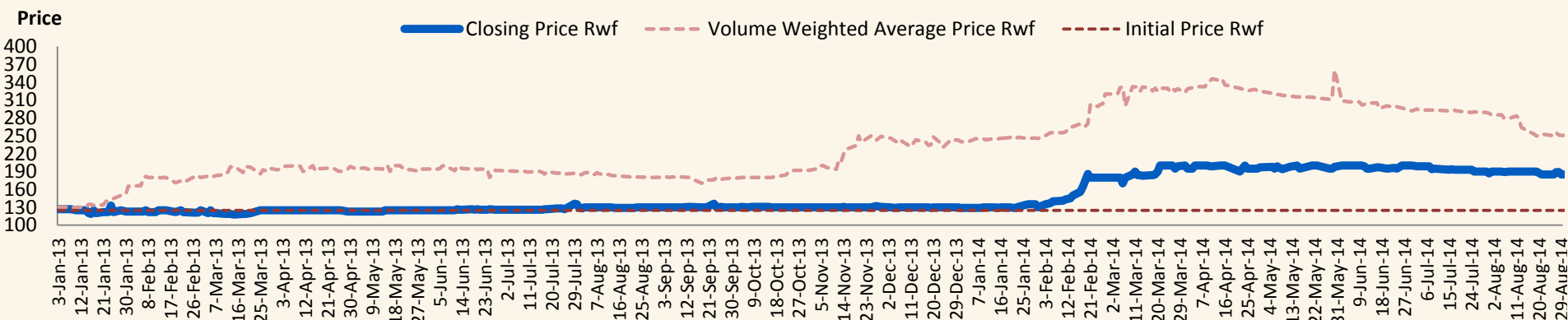
Recommendation: **HOLD**
Target Price: **Rwf 285**
Last coverage report: 1 September 2014

Current price, Rwf	260
Market Cap, US\$ mln	255
Free float	45%
Free float in US\$ mln	115
Average daily traded volume in US\$ mln	0.1
Common shares outstanding, mln shares	671.1
12-month high	365
12-month low	170
P/E 2014 (based on current price)	10.10x
P/BV 2014(based on current price)	2.13x
Dividend yield, 2013	4.6%
Dividend yield, 2014(based on current price)	4.9%
Ticker Code	BOK
Bloomberg	BOK. RW

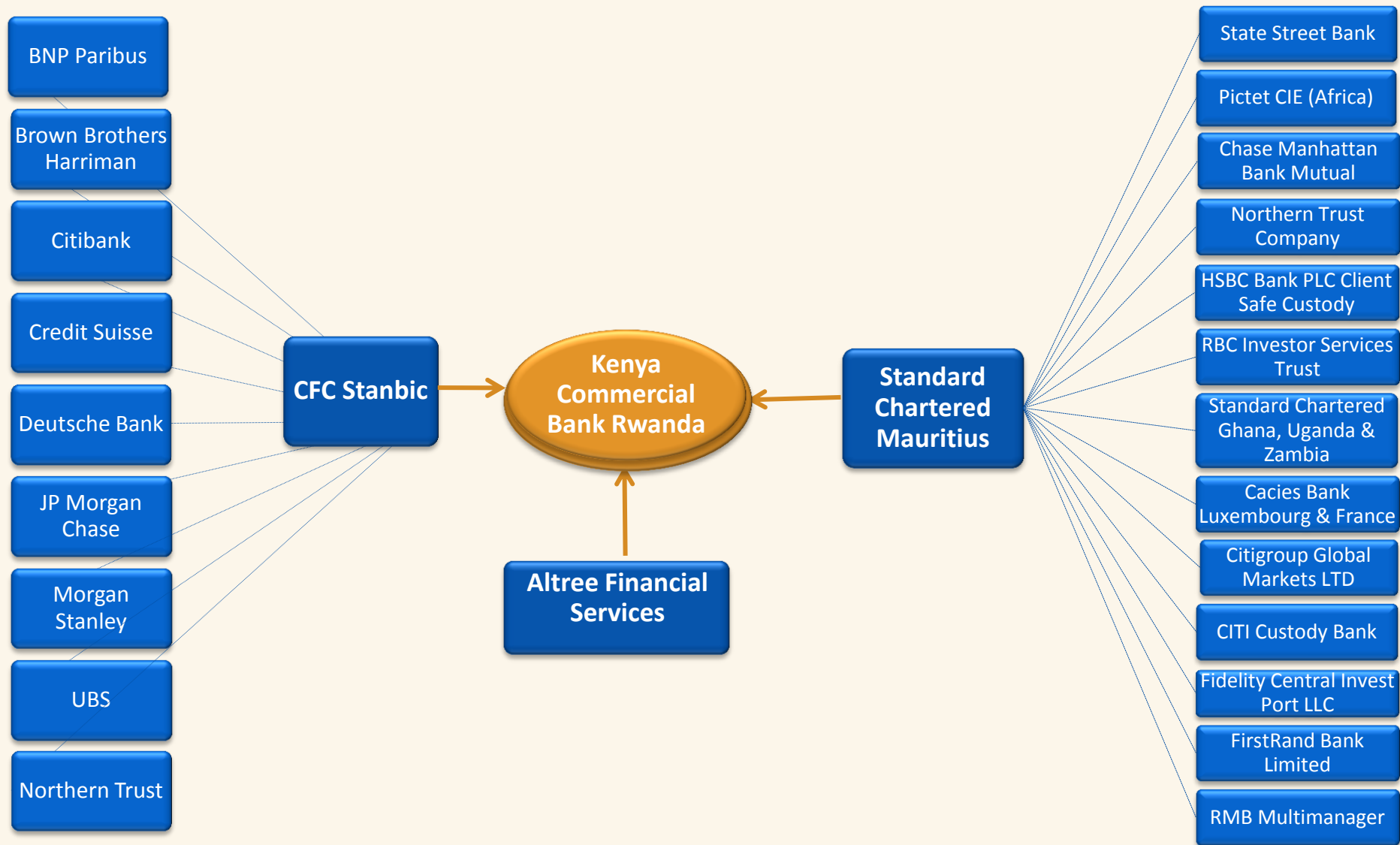
Rwf/USD Exchange Rate of 684.263as at 29 August 2014

***Capital gains on RSE transactions are exempted from Capital Gains Tax**

Share Price Performance since start of trading



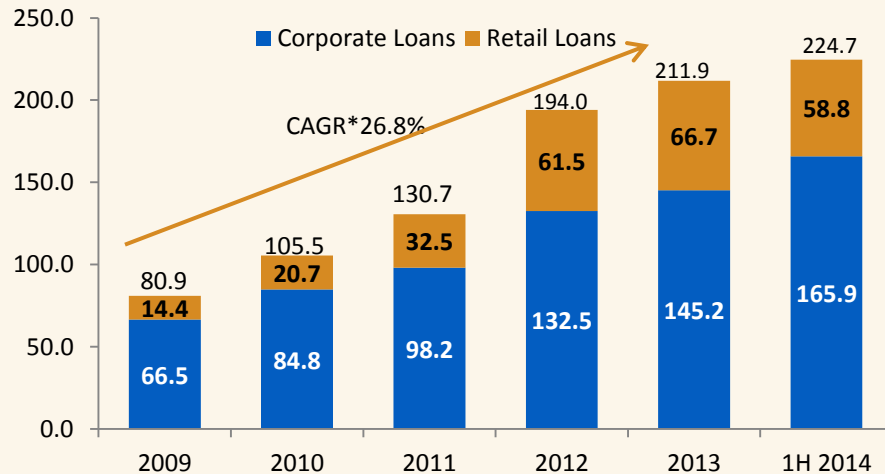
Custodial Service Chain



BUSINESS OVERVIEW

Overview of the Loan Book

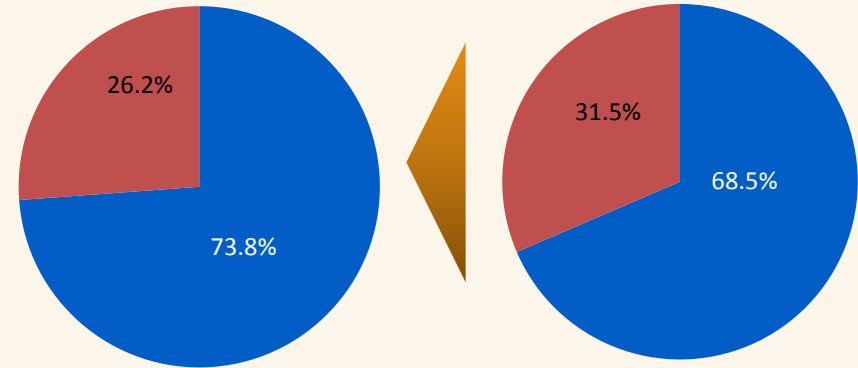
Gross Loan Portfolio



Loan Book Segmentation

1H 2014

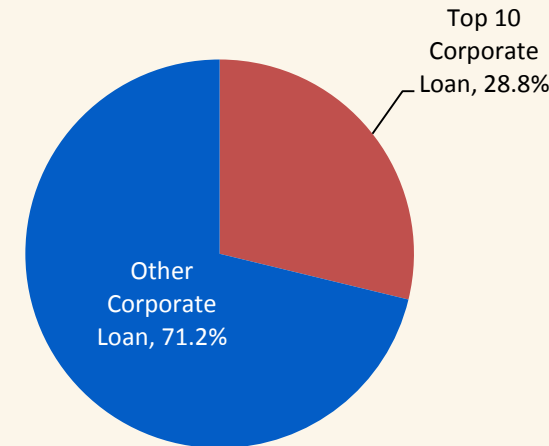
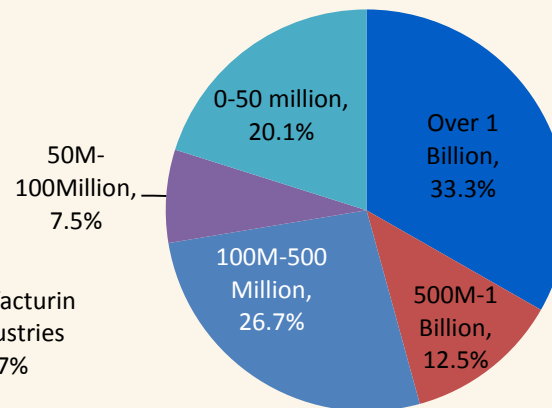
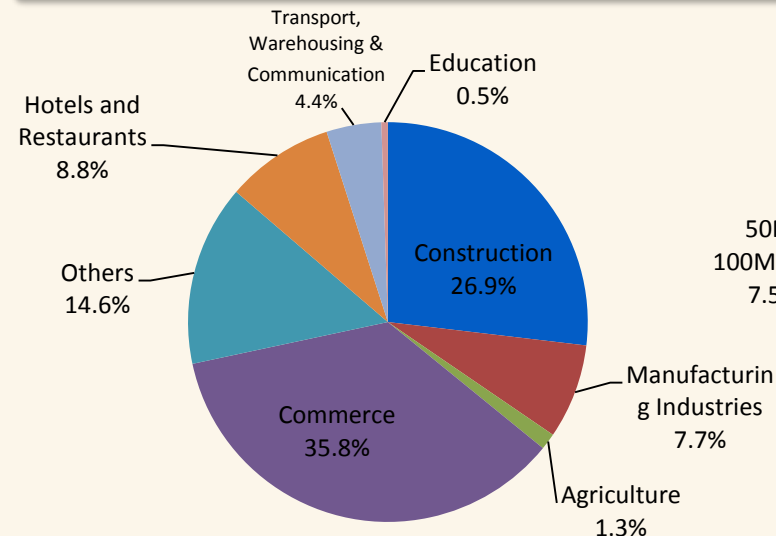
YE 2013



■ Corporate Loans

■ Retail Loans

Corporate Loan Book 1H 2014

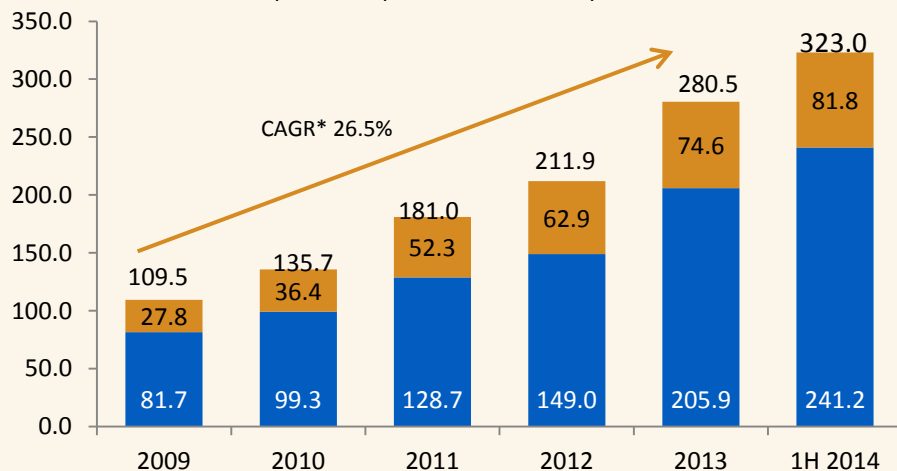


Customer Deposit Base

Customer Deposits Growth

RWF Bn

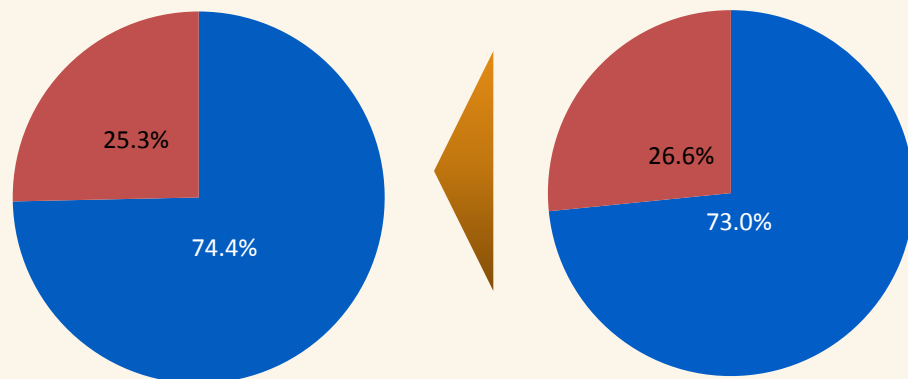
■ Corporate Deposits ■ Retail Deposits



*CAGR 2009-2013

Customer Deposit Segmentation

YE 2013

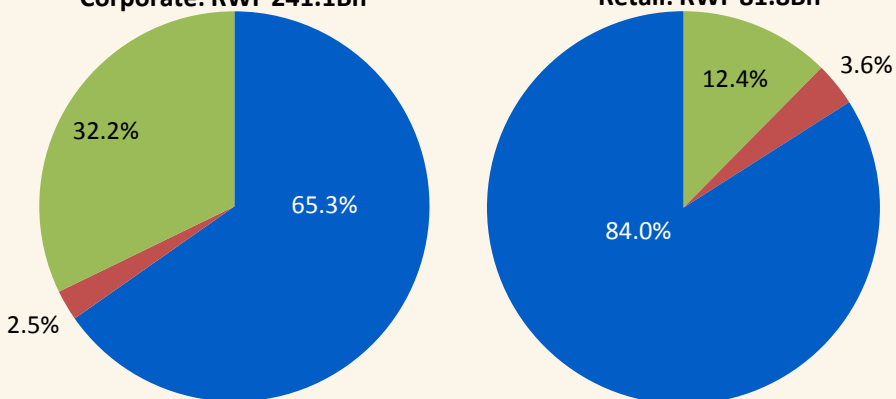


■ Corporate Deposits ■ Retail Deposits

Structure of Deposits, 1H 2014

Corporate: RWF 241.1Bn

Retail: RWF 81.8Bn



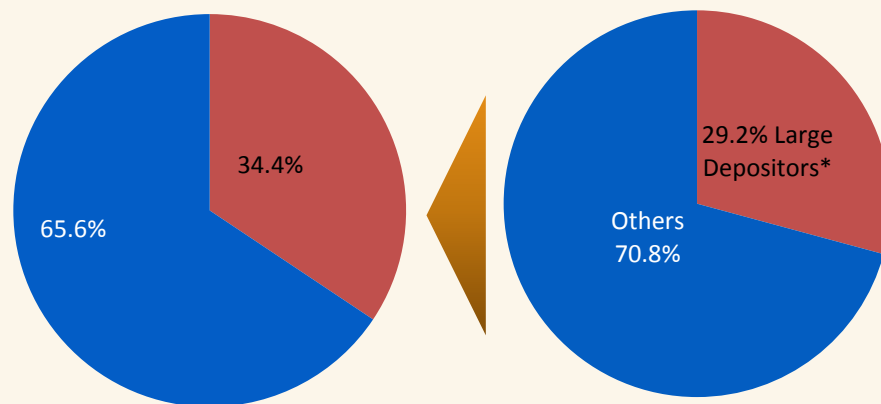
■ CB Demand Deposits
■ CB Collateral Deposits
■ CB Term Deposits

■ Term Deposits
■ Savings Deposits
■ Demand Deposits

Customer Deposits Concentration

1H 2014

YE 2013

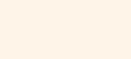


■ Large Depositors ■ Other

Notes: * depositors with total balances above 5% of shareholders' equity of BoK Source: Bank of Kigali

Corporate Banking

Description



- ☒ Clients include corporate, SMEs and NBAs*
- ☒ Interest rates are in the 16-18.5% range. Key products:
 - ☒ CAPEX loans: long-term loans for investment or expansion of the business
 - ☒ Commercial mortgage loans: typical customer participation at 30% of property value, typical tenor of up to 10 years
 - ☒ Working capital loans: financing business needs to an agreed limit for a short period (usually <1yr)
- ☒ Overdrafts
- ☒ Strategy

☒ Introduce new services, integrate client coverage

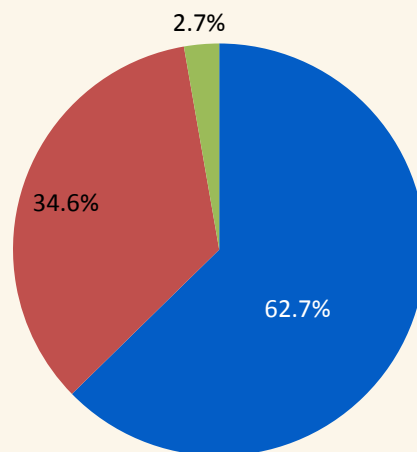
☒ Grow and consolidate market share

☒ Leverage superior lending capacity

☒ Focus on payroll services

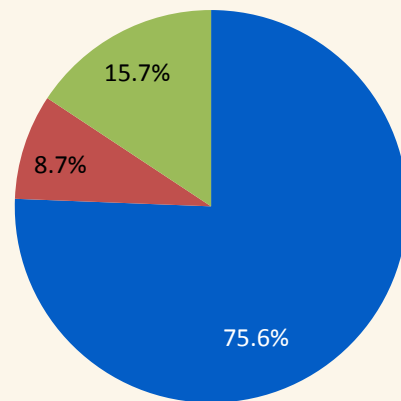
*NBAs (Non Business Associations) includes Non-Profit Organizations, Charities, Religious institutions, Educational Institutions, Cooperatives, etc.

Key Segments as at 1H 2014



■ Corporate ■ SMEs ■ NBAs

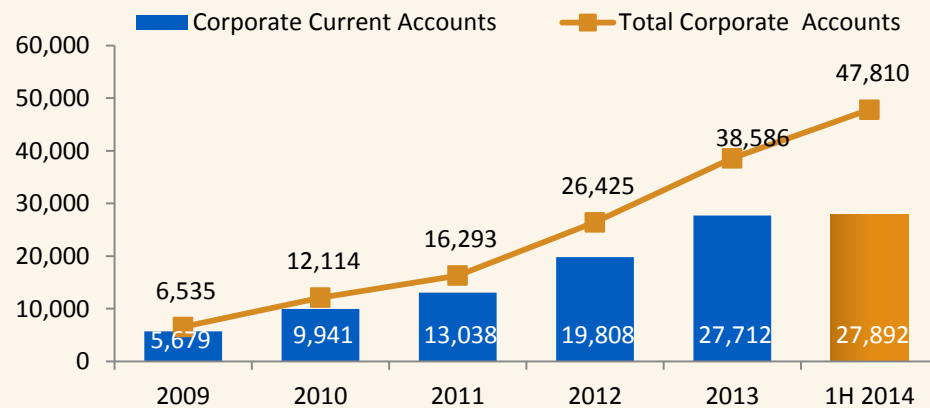
Corporate Loans: RwF 165.9Bn



■ Corporate ■ SMEs ■ NBAs

Corporate Deposits: RwF 241.1Bn

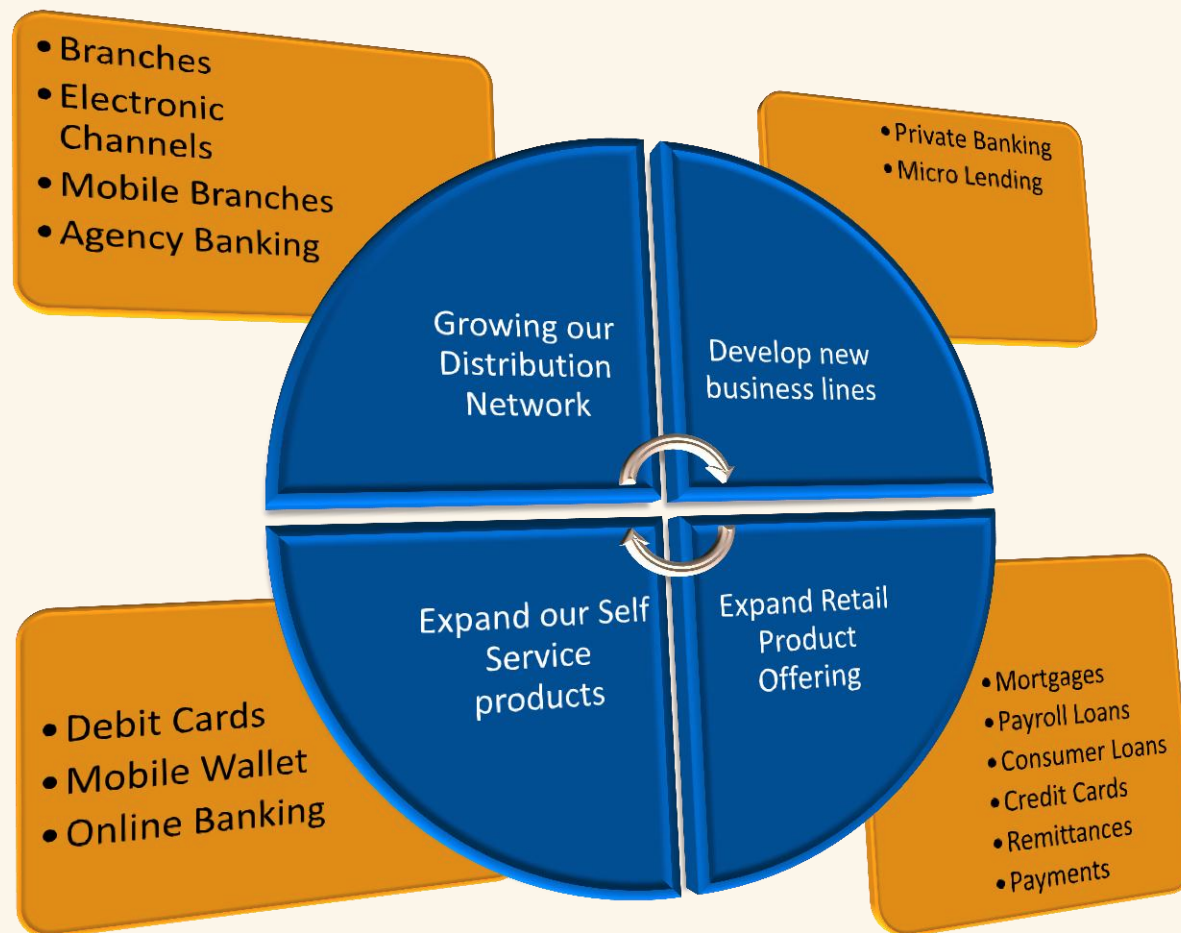
Number of Corporate Accounts



BANK OF KIGALI
Financially transforming lives



Executing The Retail Strategy



Retail Banking

Description

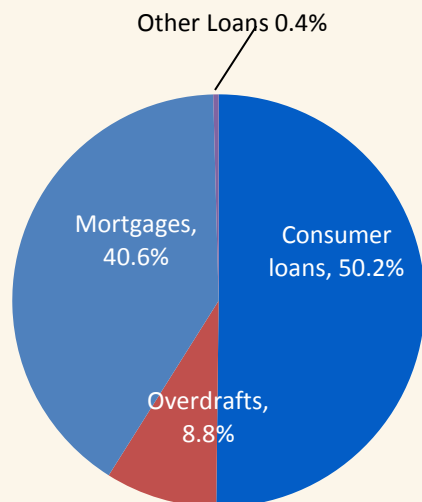
- The Bank's retail business is primarily focused on mortgages and consumer loans with notable share of salary backed overdrafts
- Key products:
 - Mortgage loan: up to 15 years with typical customer participation at 30% of property value
 - Consumer loan: up to 12x monthly salary and 48 months
 - Overdraft: up to 60% of monthly salary (normally repaid in 30 days)
 - Other products include credit cards and asset based financing
- Strategy:
 - Build a ubiquitous branch footprint throughout the country
 - Build sufficient channel capacity to be able to service 500,000+ clients by 2015
 - Build out the retail product lineup to achieve relevance to the daily lives of the banked population
 - Expand credit card/debit card offering to other providers (MasterCard, Amex etc)

Our Products

BK CASH POINT

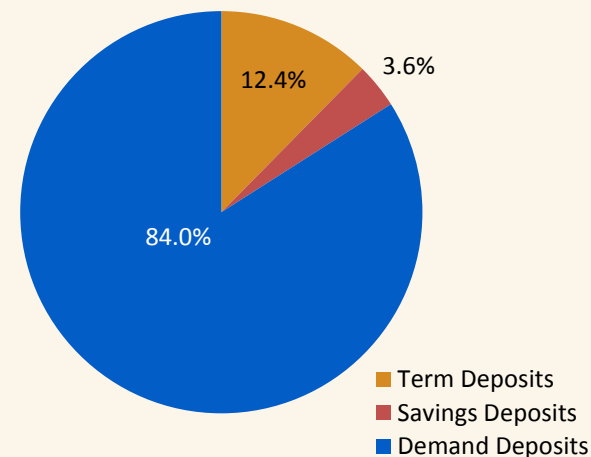


Retail Lending



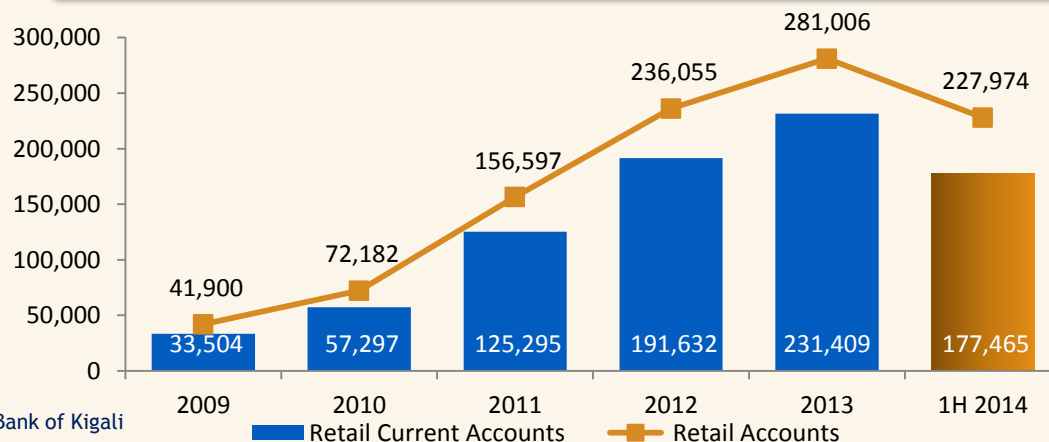
Retail Loans: RwF 58.8Bn

Retail Deposits



Retail Deposits: RwF 81.8Bn

Number of Retail Accounts

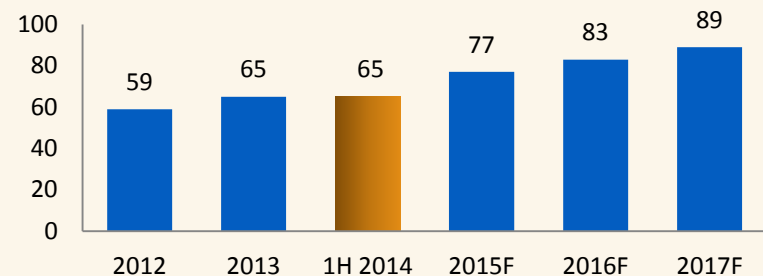


Source: Bank of Kigali

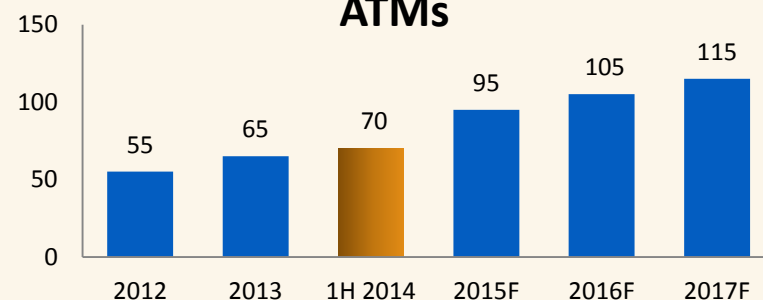
Growing Our Distribution Network

Ubiquitous footprint

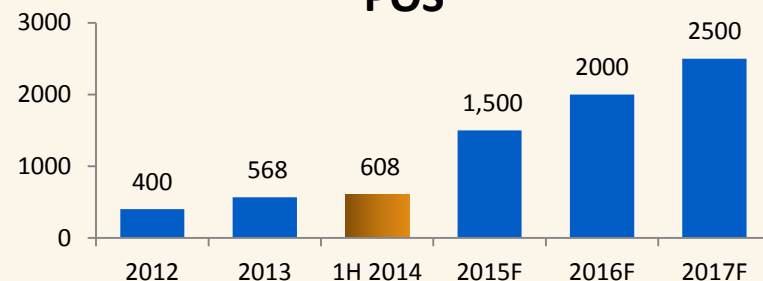
Branch Expansion



ATMs



POS

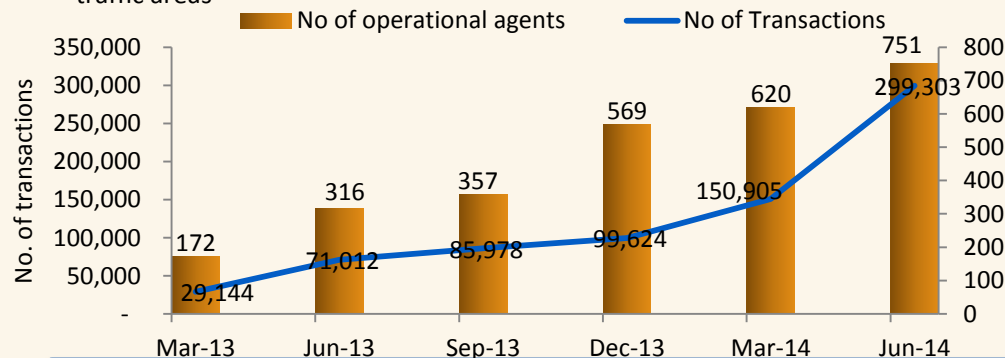


Agency Banking

- Agency Banking platform BK Yacu began operating in Nov 2012.
- Expanded the agency banking network to 751 operational agents as at 30th June 2014 and processed approximately 300,000 transactions worth over RwF 29.2 Billion
- Agents are able to perform cash in and cash out transactions, open customer accounts as well as send and receive money.



- Introduced 20 BK-owned agent kiosks in high traffic areas



Other Initiatives

- 4 additional mobile vans have been deployed across the country
- Launch Airtel Money across all branches



Expanding Our Self Service Products

Growing our Card Business

Key Achievements

- Launch of Visa Classic and Visa Gold Credit Cards
- Over 145,500 Visa Electron debit cards currently in circulation
- Union Pay and Diners Club Card Acquiring
- Deposit-taking ATMs
- Signing of E-commerce contract with Iveri

2014 Targets

- Mass roll out of credit cards to the retail segment -50,000 credit cards by YE 2014
- Master card Issuing and Acquiring
- Launch of E-commerce platform



Increasing our Mobile product offering

1. Enhancing our mobile banking service

- Our mobile banking service Mobiserve allows customers to perform the following transactions:
 - Send money to any mobile phone user regardless of whether they operate a bank account or not
 - Purchasing prepaid TV, airtime and electricity
 - Check Balances and Bank information
 - Order cheque books
- 214,820 Mobiserve users as of 30th June 2014.



2. Mobile wallet(mVISA)

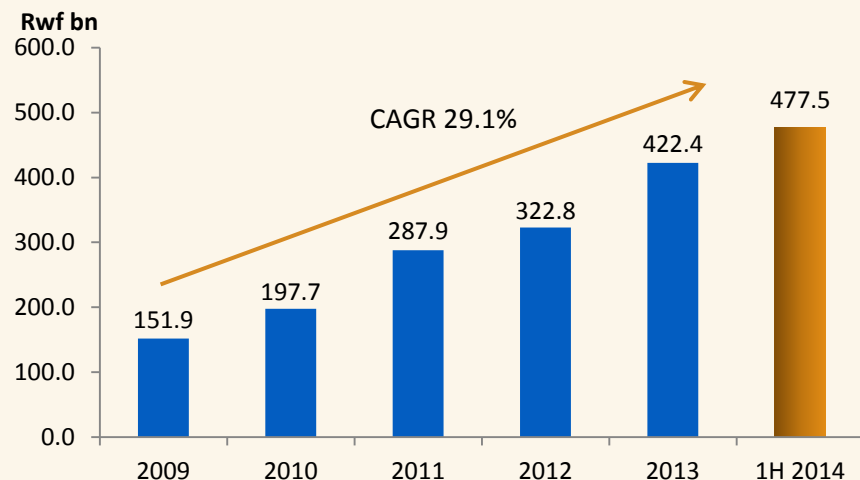
- mVISA mobile wallet was officially launched in July 2013.
- The product provides access to formal financial services to any household or Rwandan with a mobile phone.
- Customers can send and receive money as well as make deposits and withdrawals in addition to other services.
- 54,529 mVISA wallets activated as of 30th June 2014.



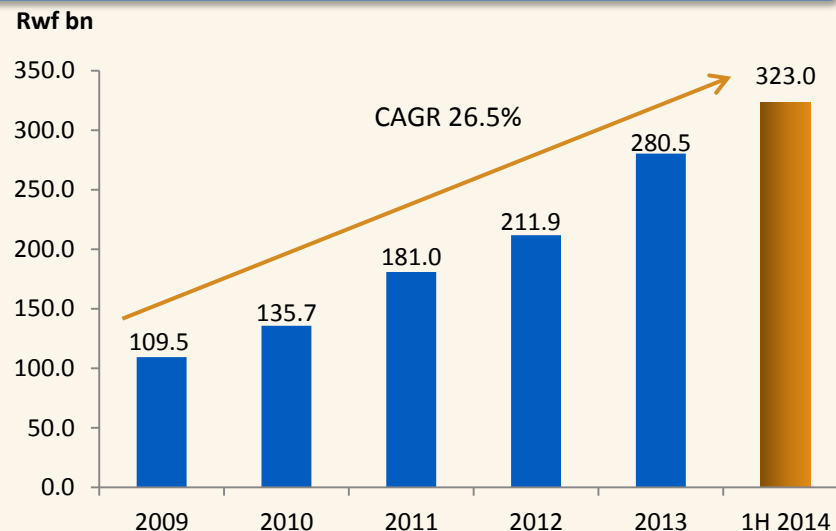
REVIEW OF FINANCIAL PERFORMANCE IN 1H 2014

Balance Sheet Highlights

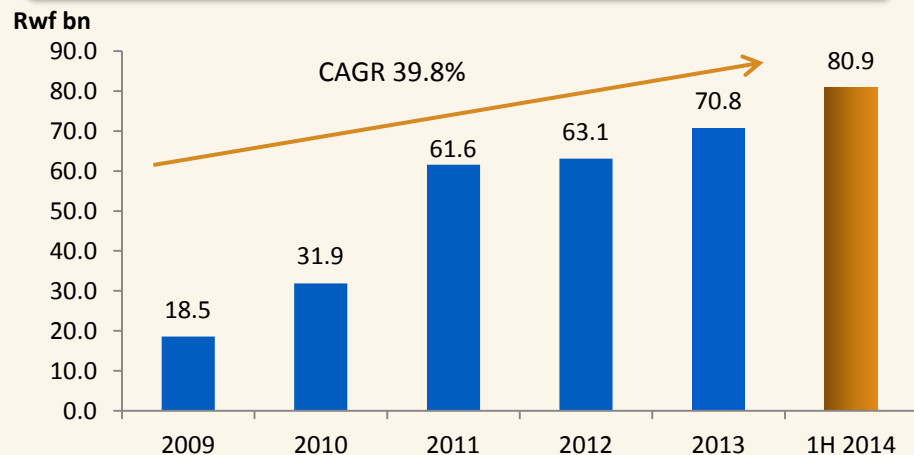
Total Assets



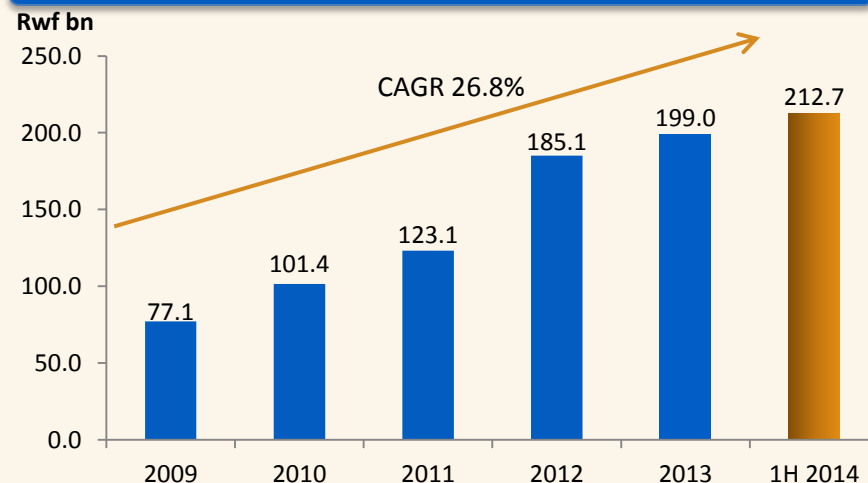
Customer Deposits



Shareholder's Equity



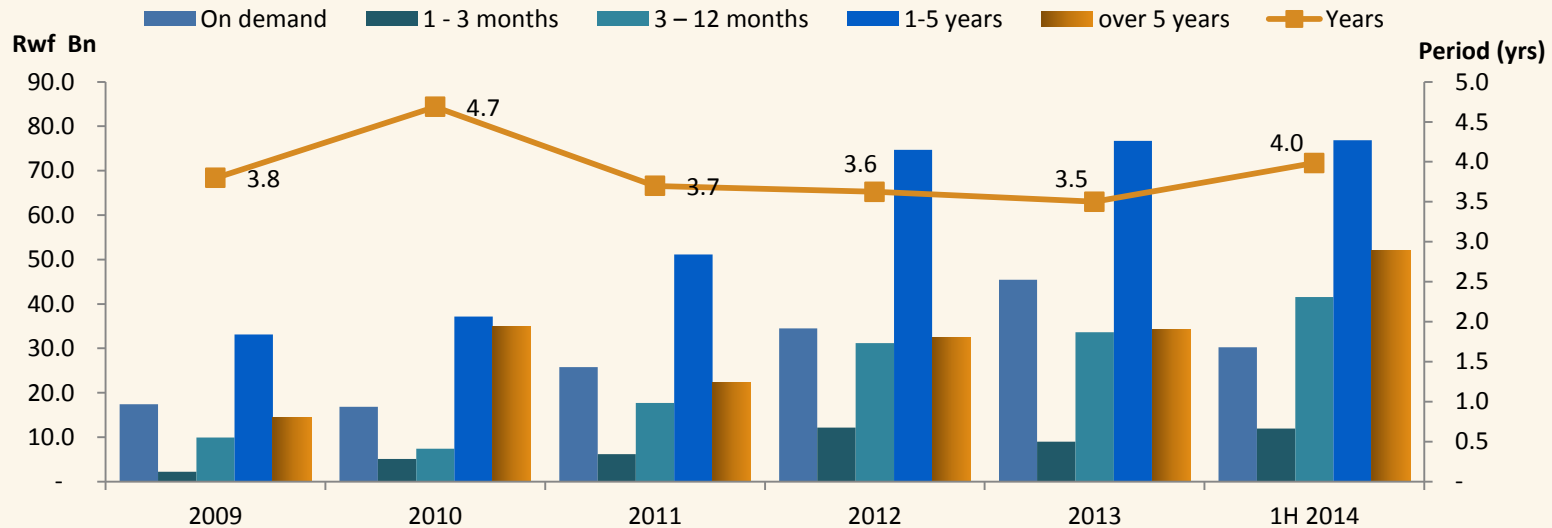
Net Loans



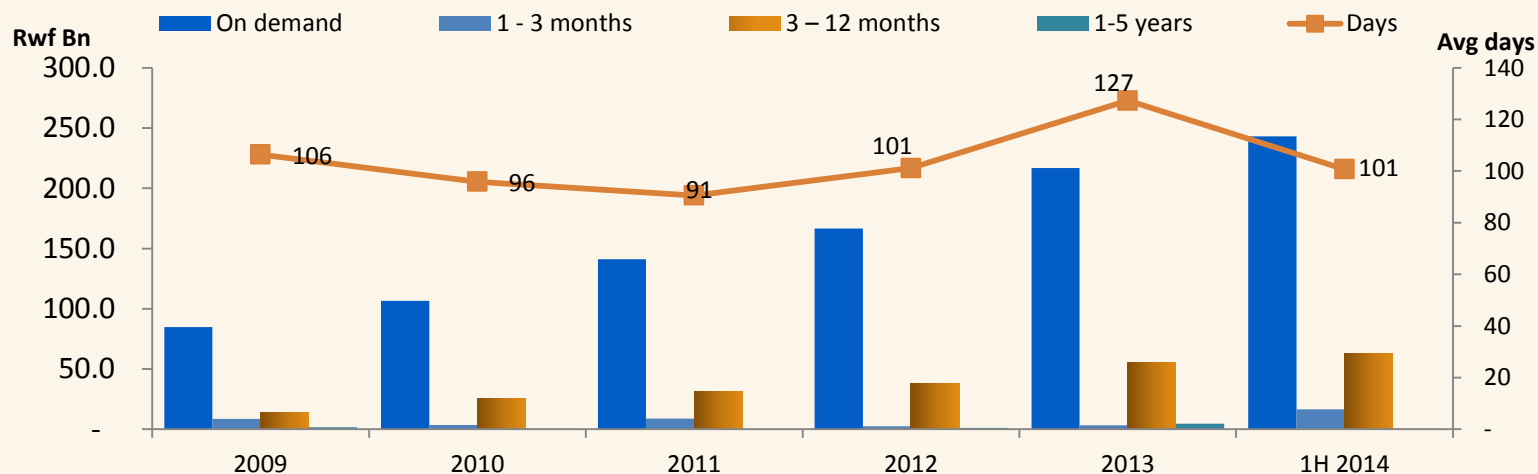
*CAGR 2009-2014

Maturity Profile

Loans

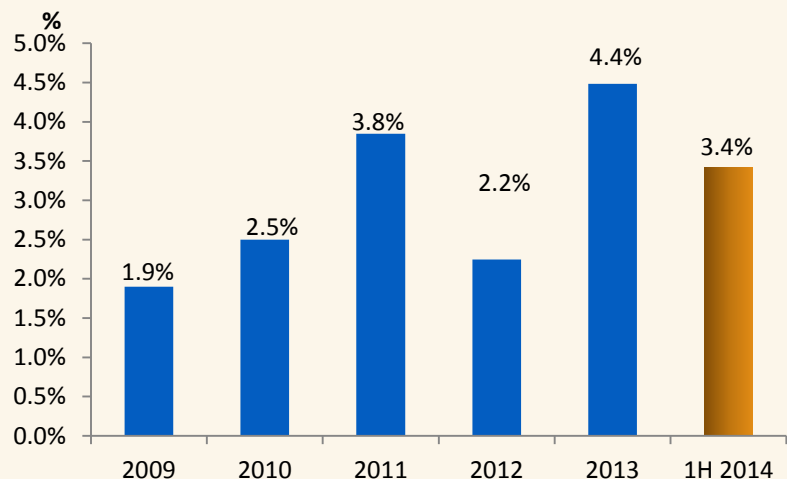


Customer Deposits

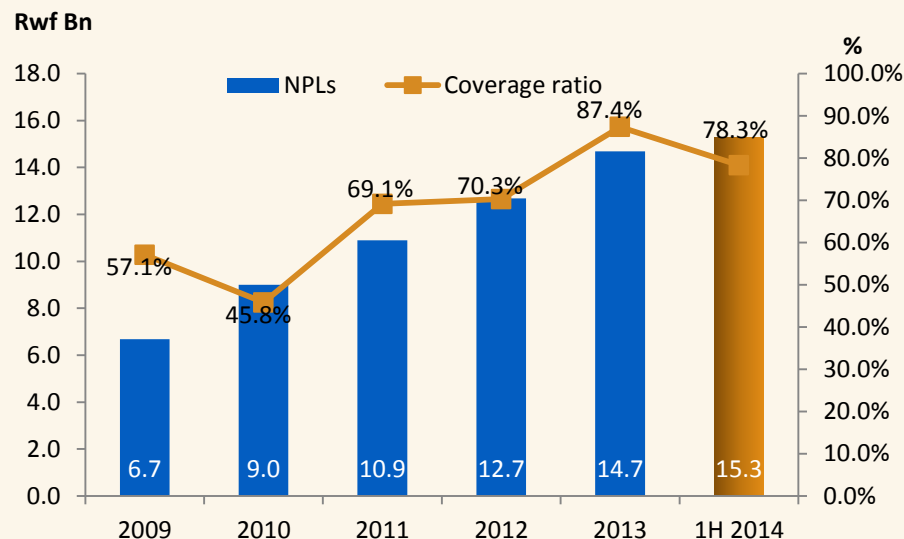


Asset Quality

Cost of Risk**, %



Improving Coverage Ratio

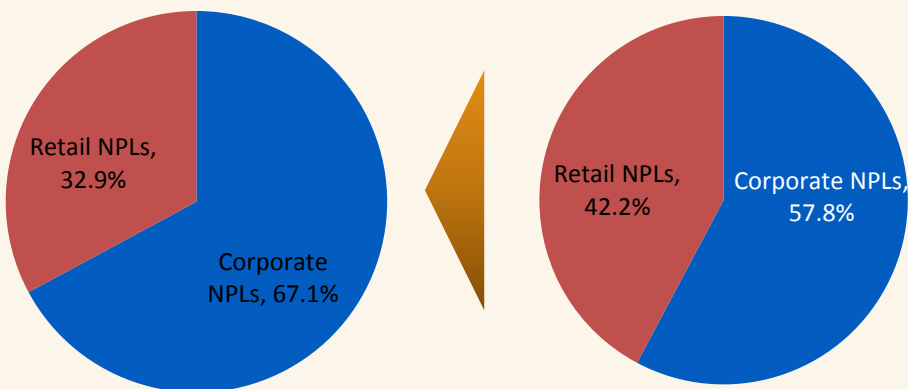


Notes: ** LLP charge / Average gross loans for period

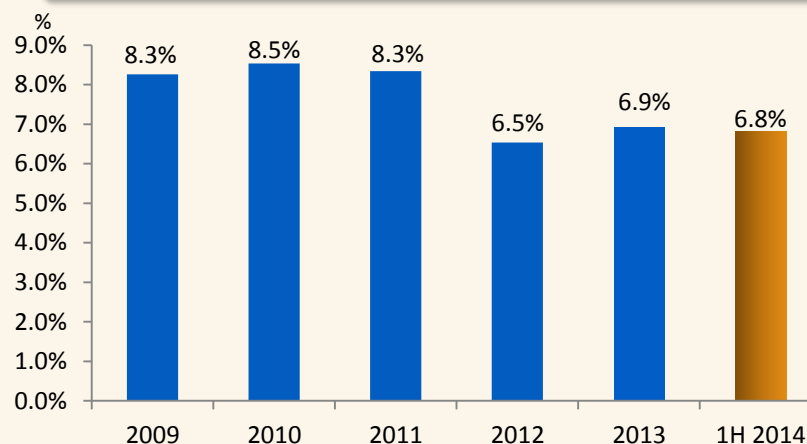
NPLs by segment

1H 2014

YE 2013

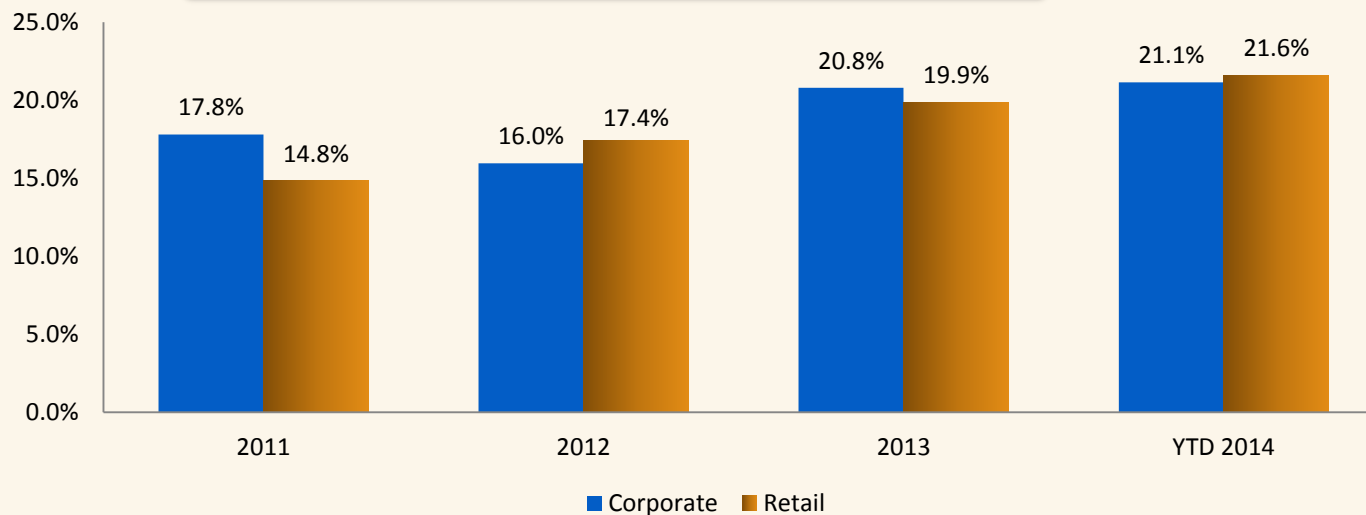


Manageable NPL Ratio

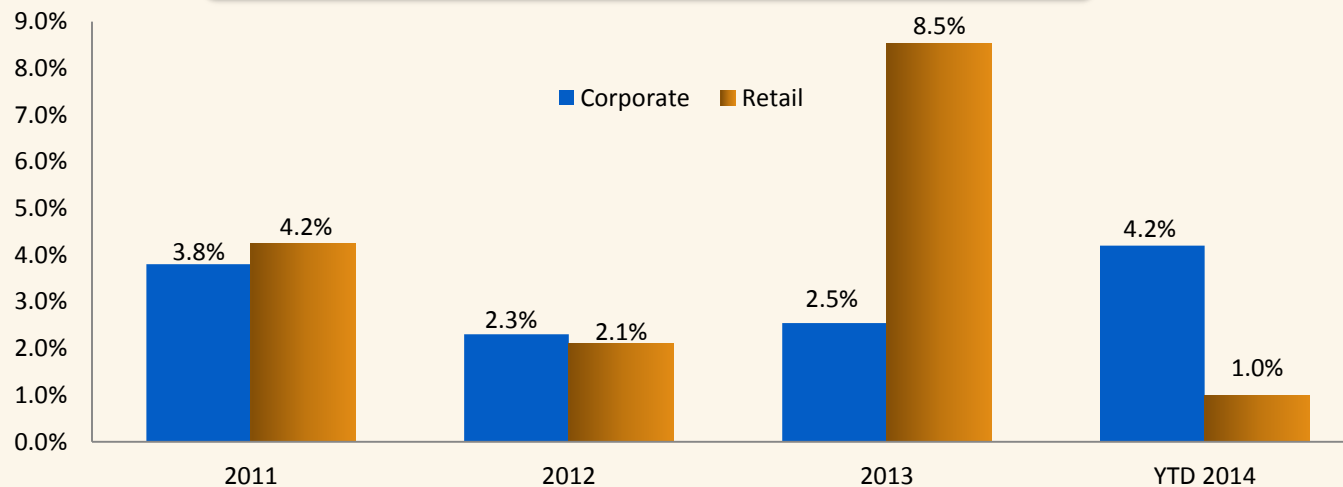


Asset Quality

Gross loan Yield



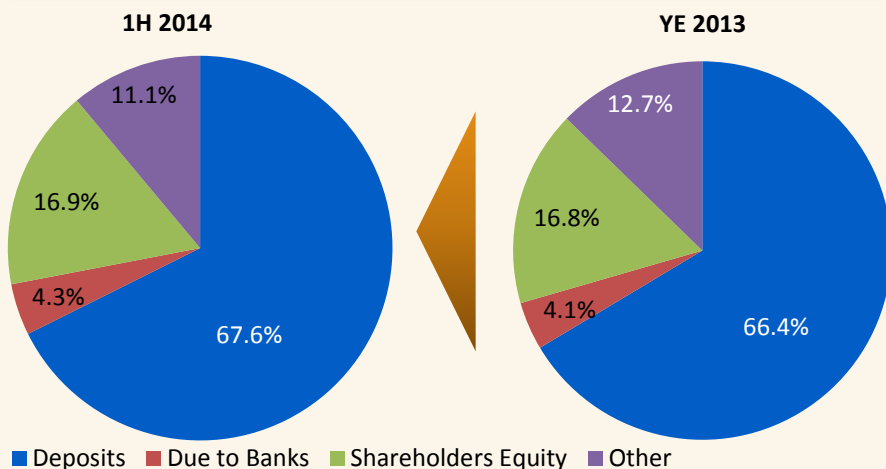
Cost of Risk



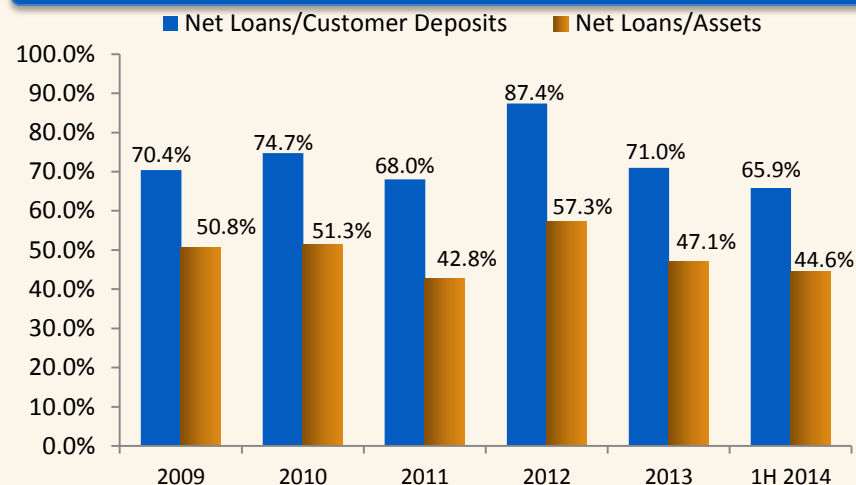
*annualised

Funding

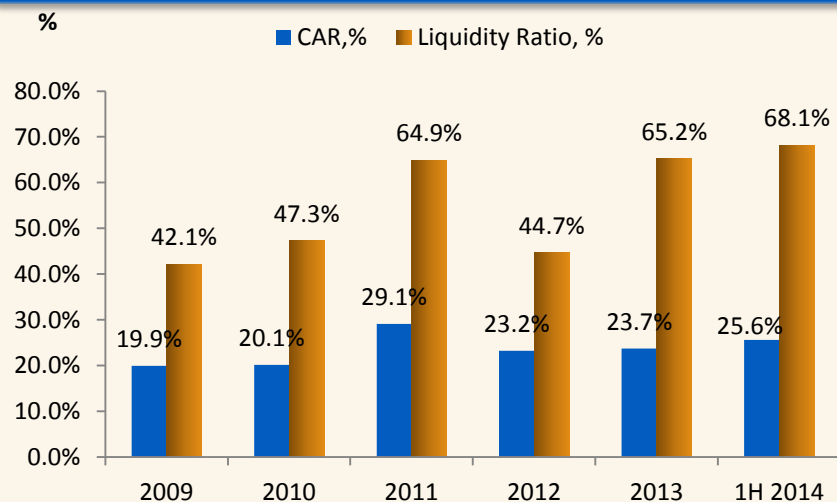
Funding Structure, %



Significant Potential For Growth In Higher Yielding Assets



Strong Capital And Liquidity Position

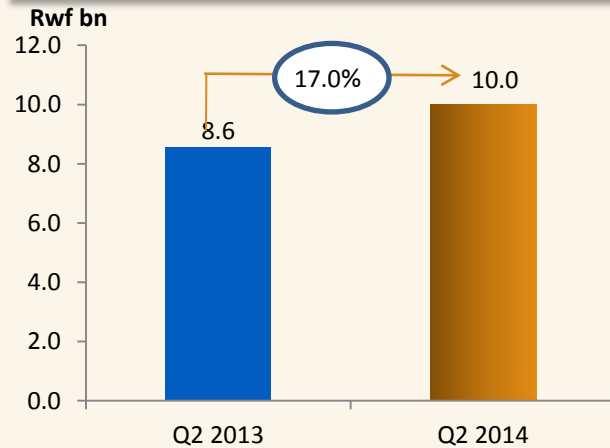


Highlights

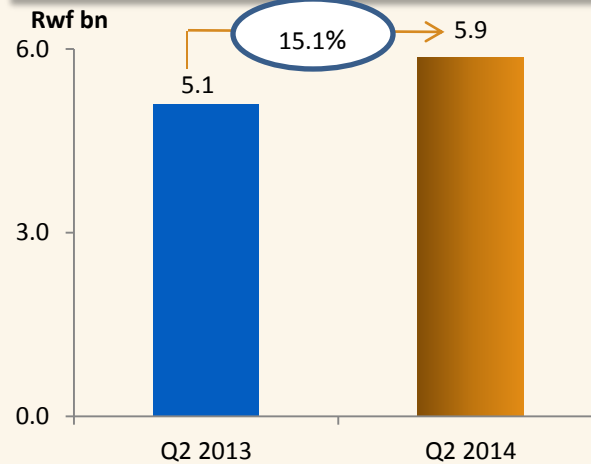
- Deposits are the primary source of funding with the share of deposits at 67.6% as at 30th June 2014
- Strong growth in deposits has been driven by our branch expansion as well the introduction of various deposit mobilizing initiatives such as mobile vans and agency banking

Q2 2014 Performance Highlights

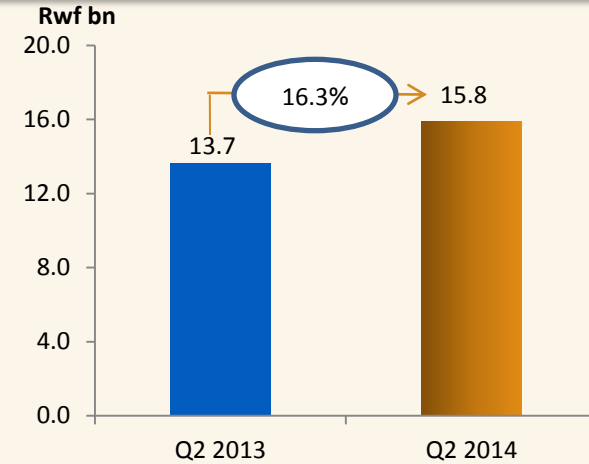
Net Interest Income



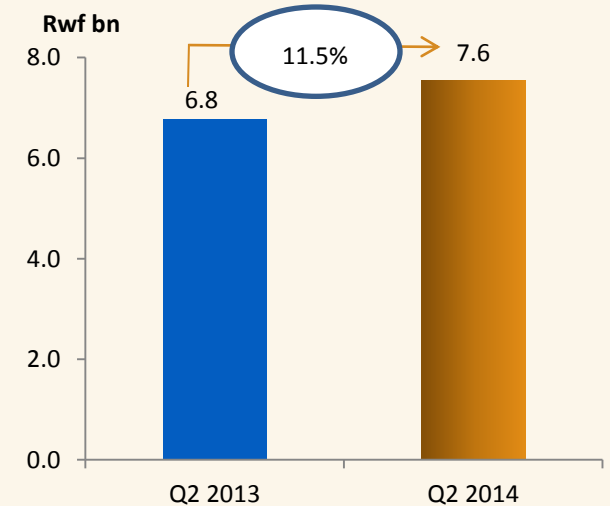
Net Non-Interest Income



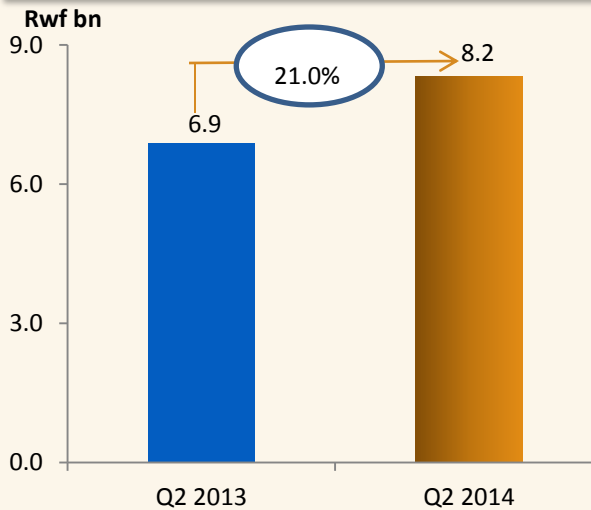
Total Operating Income



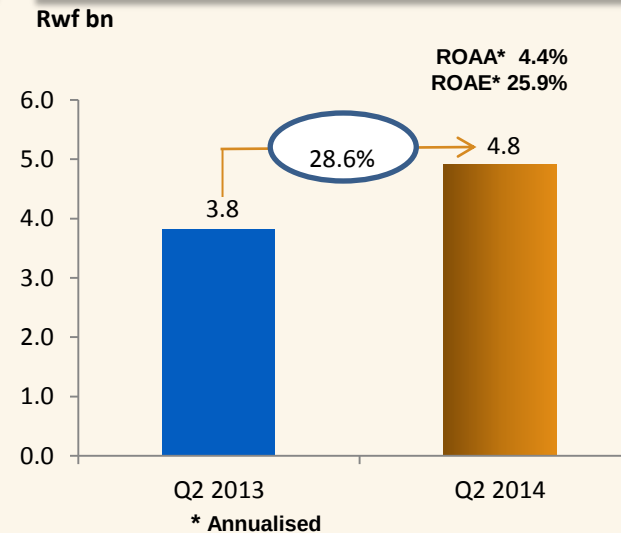
Total Recurring Operating Costs



Profit Before Provisions

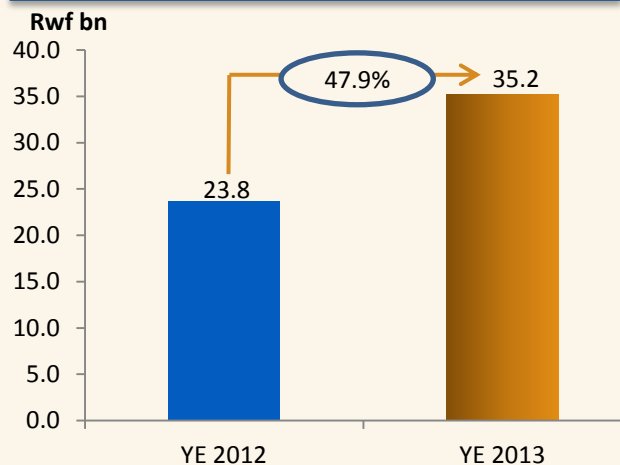


Net Income

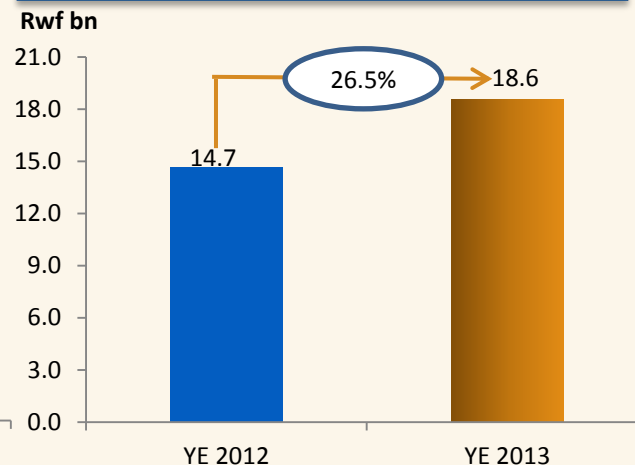


2013 Performance Highlights

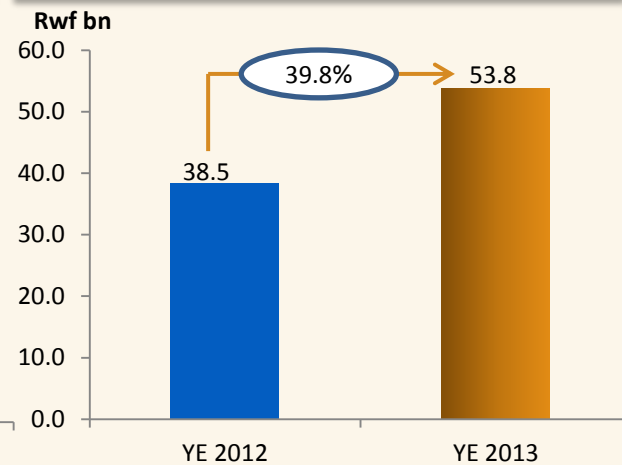
Net Interest Income



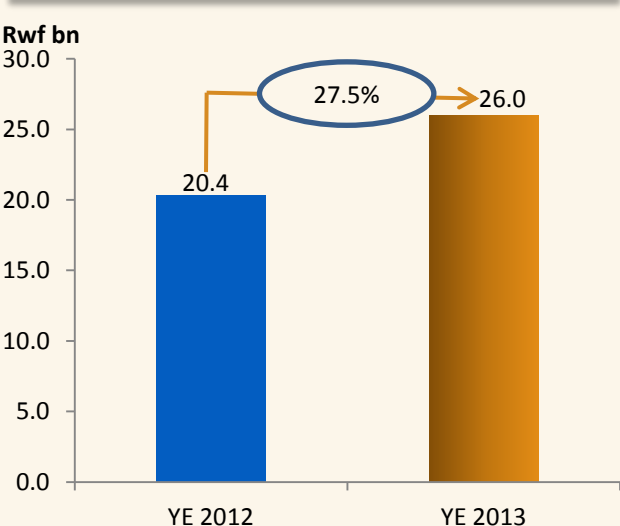
Net Non-Interest Income



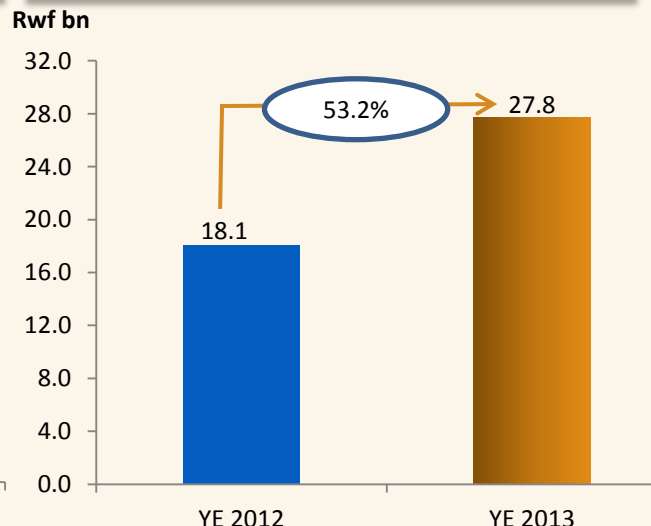
Total Operating Income



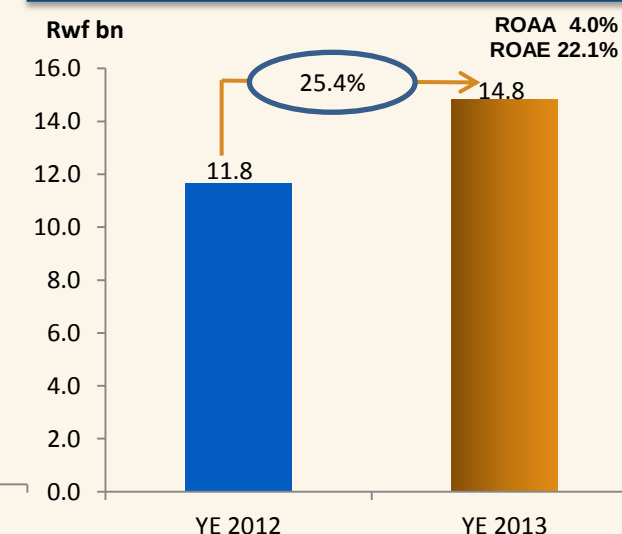
Total Recurring Operating Costs



Profit Before Provisions

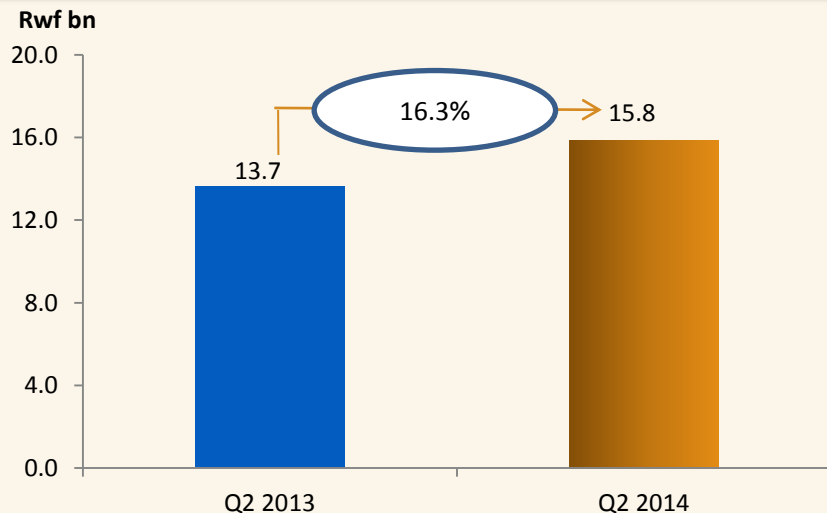


Net Income

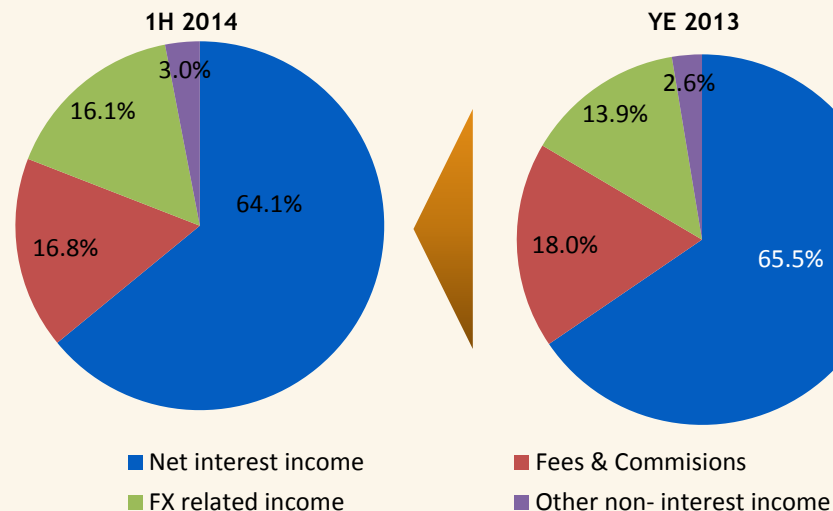


Income Statement Highlights

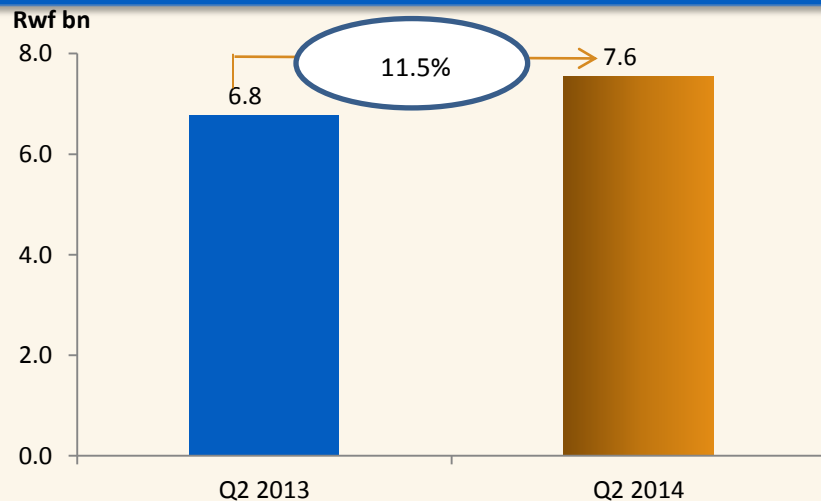
Total Operating Income



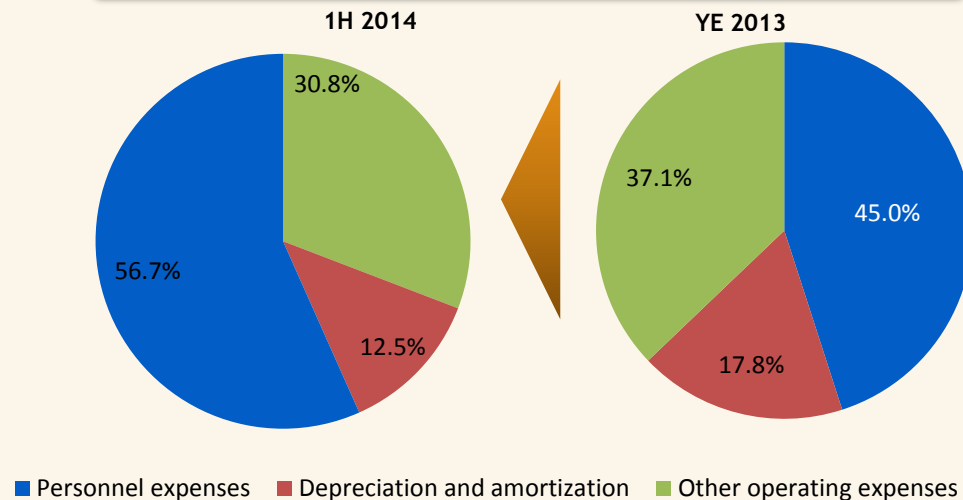
Composition of Total Operating Income



Total Recurring Operating Costs

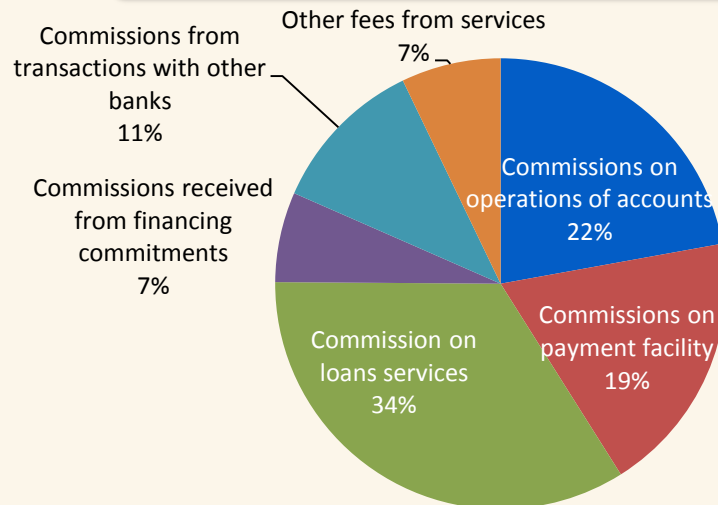


Composition of Total Operating Expenses

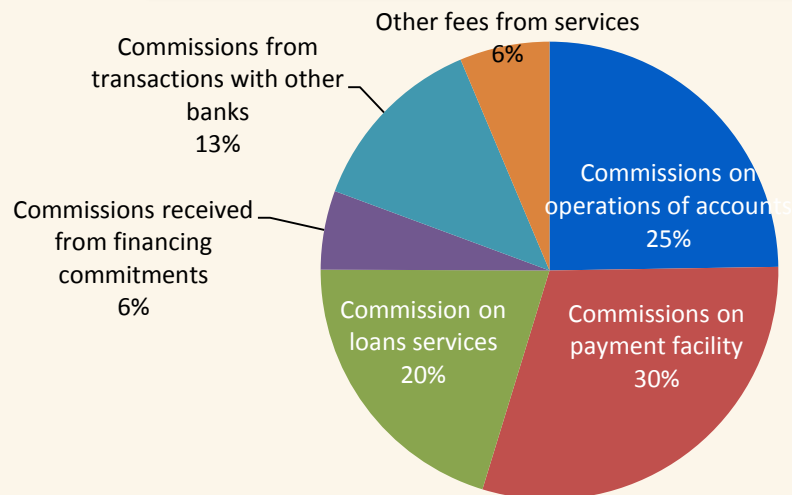


Fees & Commission Income

1H 2014



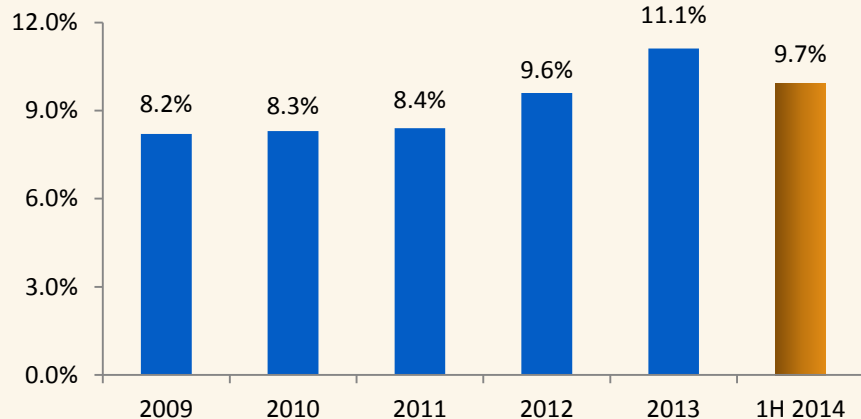
YE 2013



Consistent Profitable Growth

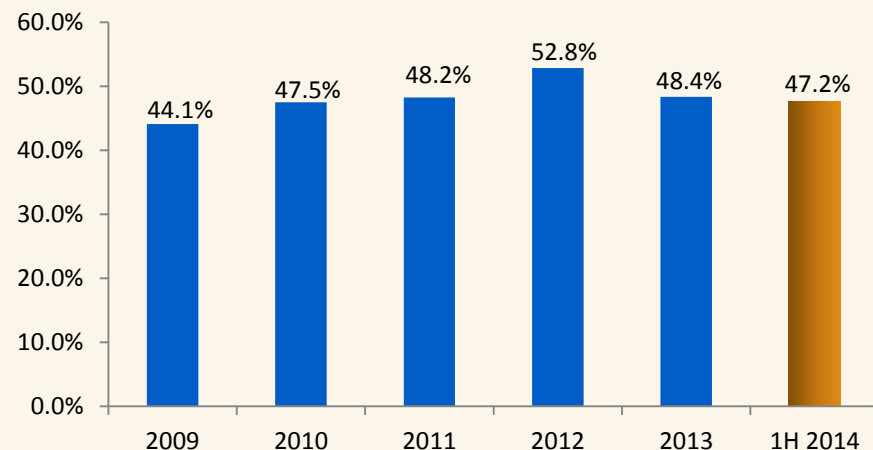
Sustainable Net Interest Margin %

Nigeria average: 17.04%



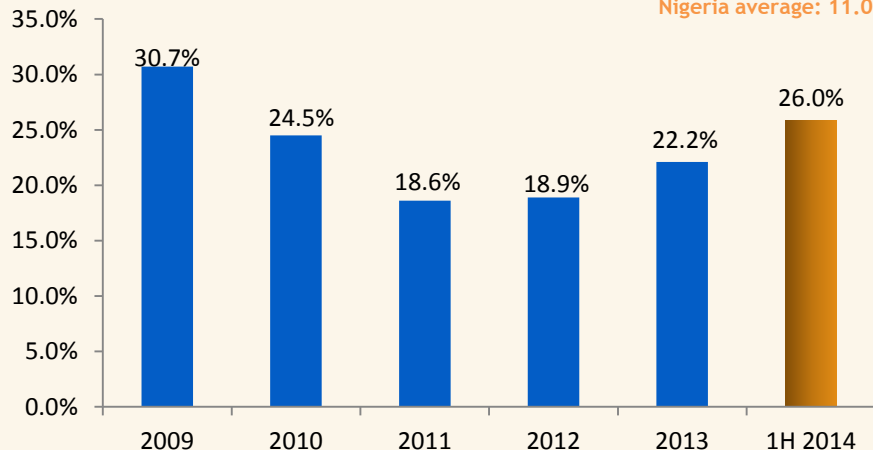
Attractive Cost/Income ratio

Nigeria average: 46.32%



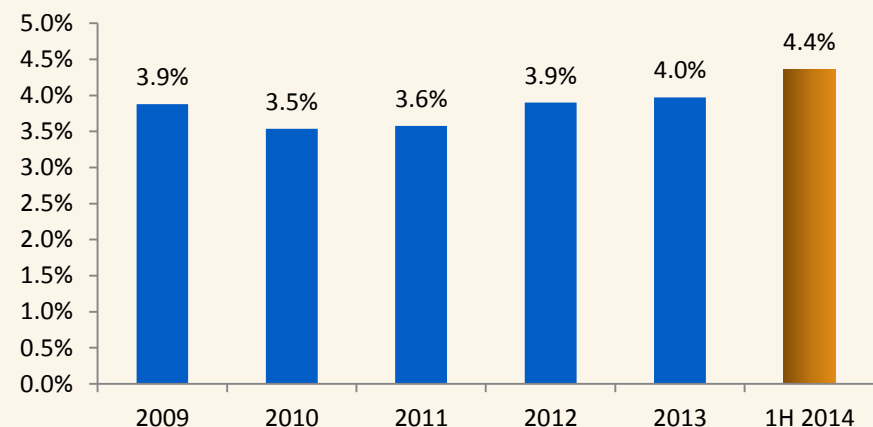
Stable Returns To Shareholders %

Nigeria average: 11.07%



Strong Return on Average Assets %

Nigeria average: 1.41%



Source: Bank of Kigali Audited IFRS Statements 2009-2013, 1H 2014 Reviewed Results ,BUSSINESSDAY Article; Snapshot of (Nigerian) Banks' H1 2014 Results

STRATEGIC OUTLOOK

Strategic Outlook

Objectives

Strategies

Action

Outcomes

Customer growth in terms of current accounts – increase current accounts by 100,000 in 2014

Build a ubiquitous branch footprint throughout the country

Build sufficient channel capacity

Expand retail product offering

- ☒ Expand the branch network to 70+ branches by YE 2014
- ☒ Increase the number of ATMs, POS terminals and cards outstanding
- ☒ Build a modern and scalable mobile banking and Internet banking platforms
- ☒ Alternative client acquisition & service channels (retail chains, co-branded cards, utilities, etc)
- ☒ Flexible, offset, variable-rate, etc. mortgages
- ☒ Full range of consumer loan products
- ☒ Revolving credit cards
- ☒ Payroll & pension-backed loans & overdrafts
- ☒ Modern, multi-currency current accounts with debit cards
- ☒ Ubiquity of ATMs and POS terminals in urban centers and reasonable proximity elsewhere
- ☒ Payment & e-wallet solutions
- ☒ Full range of deposit products

- ☒ Benefit from first-mover advantage outside the capital city, making it more difficult for the competitors to follow suit
- ☒ Reach out to the unbanked (but bankable) population
- ☒ Become the bank of choice and convenience for the middle class and youth entering the employment sector
- ☒ Create capacity to service 500,000+ clients
- ☒ Maximize the product-to-client ratio
- ☒ “Grow with clients”
- ☒ Valuable source of retail clients through payroll programs
- ☒ Growth of loan book and F&C income

Healthy structure & growth of balance sheet >20% growth in 2014

Increase the loan to asset ratio to 60%

Increase retail loans penetration

Consolidate the leading position in corporate banking

Increase the maturity profile of liabilities

Create a universal banking platform

- ☒ Integrated client coverage
- ☒ Leverage the superior lending capacity
- ☒ Cross-selling opportunities
- ☒ Documentary operations & trade finance, FX, other solutions
- ☒ Rep offices in EAC from 2012
- ☒ Leverage the superior access to wholesale funding to complement the deposit funding base
- ☒ Private Banking, Securities, Insurance

- ☒ Diversification of funding base
- ☒ Expand the share of higher-margin lending
- ☒ Maximise the cross-sell opportunities
- ☒ Grow the share of retail in the loan book up to 30%-40% in the medium term
- ☒ Reduce maturity gap
- ☒ Enable further expansion of long-term lending
- ☒ Further diversification of revenue streams

Earnings growth ~22%
Return on Average Equity > 20%

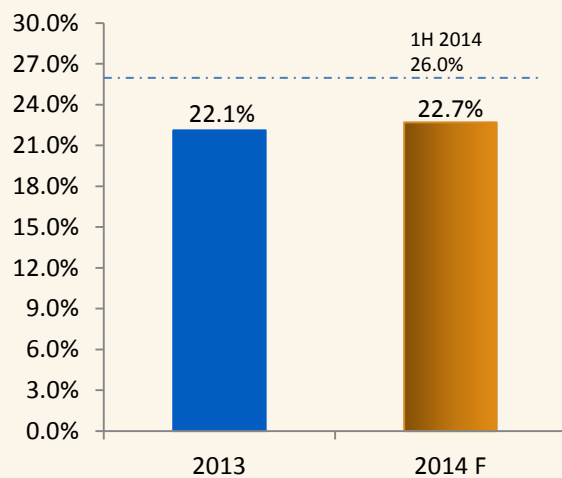
Maintain profitable growth

- ☒ Continuous improvement of risk management policies & procedures
- ☒ Disciplined capital management, medium term target CAR of 15%-17% and ROAE of 20%+, implying ROAA in the 3.5% range

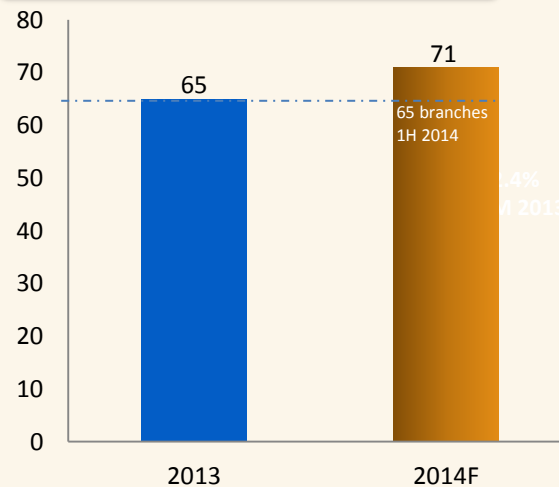
- ☒ No profitability sacrifices for the sake of market share gains
- ☒ Sensible dividend policy as the growth curve flattens out over time

Management Targets

Return on Average Equity



Branch expansion



Other Selected Management targets

- Grow net income by 20% Y-o-Y
- Grow total assets by 20% Y-o-Y
- Non funded income ratio - 40% of the total operating income
- Lower NPL ratio to less than or equal to 5%
- Increase number of retail current accounts by 100,000

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Visit our website, www.bk.rw to access our Investor Presentations, Press Releases and Annual Reports.

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